BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

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Q. Would you state your name, employer, and business address.

A. My name is Andrew Carpenter. I am employed by the New York Department of Public Service, referred to as the Department. My business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Carpenter, what is your position within the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Please summarize your education and professional experience.

A. I graduated from Hudson Valley Community College with a degree in electrical construction and maintenance in 2014, and from the State University of New York Polytechnic Institute in 2016, majoring in electrical engineering technology and minoring in mathematics. I worked as an instrumentation technician in a water plant operated by the city of Troy from 2019 to 2023. I jointed the department in 2023.

Q. Have you testified before the Public Service

Commission, referred to as the Commission, in other proceedings?

A. Yes, I testified as a member of the Staff Rates Panel in Cases 23-E-0418 and 23-E-0419 and Cases 24-E-0461 and 24-E-0461, rate proceedings regarding Central Hudson Gas & Electric Corporation. I also testified in Case 23-W-0111, rate proceeding regarding Veolia Water New York, Inc., as a member of the Staff Infrastructure and Operations Panel, reviewing capital project costs, processes, and justifications; and as member of the Forecasting and Rates Panel, reviewing forecasted sales, customer counts, and water demand.

Overview

Q. What is the purpose of your testimony in these proceedings?

A. The purpose of my testimony is to address the information technology budget requested by Consolidated Edison Company of New York, Inc., referred to as Con Edison or the Company. Specifically, I address: (1) the magnitude and affordability of Con Edison's information technology budget request; (2) the quality of

the Company's White Papers and how the defects unduly burden my review process; (3) how the White Papers presented in the Company's Information and Technology Panel deviate from the guidelines articulated in the Company's Capital Project Playbook, or CPP; (4) how the definitions within the CPP may inappropriately categorize information technology projects as "Operationally Required"; and (5) elements of Con Edison's proposed capital projects that have insufficient justification. I recommend certain adjustments to the project budgets proposed by the Company in its rate filing, which impact the net plant in service balance and depreciation expense for Rate Year 1, which is the 12 months ending December 31, 2026. My adjustments reflect the level of spending the Company has justified in its testimony, exhibits, and discovery responses. Additionally, I recommend certain reporting requirements pertaining to information technology projects.

Q. In your testimony, how will you refer to information obtained during the discovery phase of these proceedings?

A. I refer to them by the party requesting the information, and the numbering of that request, for example, DPS-123. These responses are included in Exhibit___(AC-1).

Q. Are you sponsoring any other exhibits?

A. Yes. Exhibit___(AC-2) contains a table summarizing the recommended adjustments to project budgets. Exhibit___(AC-3) contains a breakdown of projects with adjustment recommendations, and includes a summary of information provided for each project and presents the underlying calculations.

Q. What capital and incremental operation and maintenance, or O&M, does the Company's Information Technology, or IT, Panel request?

A. The Company's IT Panel requests $2.646 billion in capital funding, as shown in Exhibit___(IT-1-Upd) and $230.121 million in incremental O&M expenses, as shown in Exhibit___(IT-2-Upd), over the three-year period of 2026 through 2028. This includes $984.346 million in capital expenditures and an incremental O&M of $141.689 million for Rate Year 1.

Q. What level of capital and O&M funding do you

recommend for Con Edison's IT budget?

A. The Company provided in its filing the budgetary information for the calendar year 2026 and in the event of a multi-year settlement, Con Edison provided proposed budgets for calendar years 2027 and 2028. I recommend a reduction in IT funding for each year presented by the Company in its rate filing with the adjustments for calendar year 2027 and 2028 to be considered in the event of a multi-year settlement. The methodology applied to determine the recommended Rate Year 1 budget recommendation was applied to all three Rate Years, and the results of which are presented within the sponsored exhibits. For the purposes of this testimony, discussion is limited to the Rate Year 1 budget request. I recommend reducing Rate Year 1 capital budget to $495.644 million and the incremental O&M to $86.983 million. This is a reduction of $488.702 million from the Company's capital request and $54.706 million from the Company's O&M request.

Q. Do you recommend adjustments for Rate Year 2 and Rate Year 3?

A. Yes. All adjustments applied, unless otherwise stated, were also applied to the Rate Year 2 and Rate Year 3 project budgets. For brevity, the Rate Year 2 and Rate Year 3 capital expenditures and incremental O&M are presented and summarized in Exhibit___(AC-2). The Company requested $894.363 million in Rate Year 2 and $767.486 million Rate Year 3. My recommended budgets for Rate Year 2 and Rate Year 3, which apply the same methodology as Rate Year 1, is $484.567 million and $484.626 million, respectively. My budget recommendation adjusts the Company's Rate Year 2 budget downward by $409.797 million, and the Rate Year 3 budget downward by $282.860 million.

Q. What categories within Con Edison's IT budget are you recommending adjustments?

A. Con Edison IT budget can be separated into the following categories defined by the work plan category provided within the project White Papers: Operationally Required, Regulatory Mandated, and Strategic. I am recommending adjustments to all three categories. A table of my adjustments can be found in Exhibit___(AC-2).

Q. What principles guided the development of your recommended budget?

A. Affordability and project justification. Generally, I am concerned with the trajectory of IT spending proposed by Con Edison and how that would impact customers' ability to afford delivery rates. In addition, the Company has the responsibility of justifying its proposal, therefore for proposals that were found to be justified, I recommend a level of funding; for projects not justified, I recommend funding reduction.

Q. How did you determine your recommended adjustments?

A. I used three common adjustment methods. The most frequently applied adjustment is a reduction of the capital and/or O&M budget to 70 percent of the proposed amount. The second most frequently applied adjustment reduces the project budget to the average of historical spending, inflated to 2026 dollars. The third most common adjustment reduces the project budget to the amount indicated from a linear forecast of available spending data. All other

adjustments are reductions to percents of the capital budget proposed by the Company that reflect other considerations, as provided.

Q. Please elaborate on what inflation factors were used throughout your testimony when making your calculations.

A. To inflate from 2020 to 2025 dollars, historical values were multiplied by 1.2220. To inflate from 2021 to 2025 dollars, historical values were multiplied by 1.1689. To inflate from 2022 to 2025 dollars, historical values were multiplied by 1.0909. To inflate from 2023 to 2025 dollars, historical values were multiplied by 1.0538. To inflate from 2024 to 2025 dollars, historical values were multiplied by 1.0283. To inflate from 2025 to 2026 dollars, historical values were multiplied by 1.0266. To inflate from 2026 to 2027 dollars, historical values were multiplied by 1.0240. To inflate from 2027 to 2028 dollars, historical values were multiplied by 1.0220. I used the inflation factors from the forecasts of the Gross Domestic Product – Price Index in the April 2024 Issue of the Blue Chip Economic Indicators. First,

please elaborate on the rationale for adjusting projects to 70 percent of the proposed value.

A. Adjusting projects to 70 percent of the proposed value is a reasonable adjustment methodology for five reasons. First, the projects proposed by the Company have, in the aggregate, considerably unrefined scopes. When projects have unrefined defined scopes and have not fully determined the business requirements driving project costs adjustments must necessarily be arbitrary, particularly when detailed estimations of project costs have not yet been finalized.

Q. What is the second reason?

A. The second reason is that the budgets of individual projects reflect, in part, assumptions and considerations of other projects; a precise adjustment to one project can potentially decrease the precision of an adjustment to another project.

Q. What is the third reason?

A. The third reason is that projects with relatively more refined scopes do not necessarily break down costs in a manner that enables a precise adjustment. For example, in

response to DPS-933, question 2b , which requests the capital, and operational and maintenance costs for the activities identified in the White Paper "Customer Care & Billing Enhancements and Upgrade", an on-going project, the Company stated: "The Company does not track costs at the activity level." Similarly, in response to DPS-984, which requested the capital and operational expenses associated with each focus area in the planned "Customer Data Sharing" project, the Company stated: "As the Customer Data Sharing program leverages a customer-centric, agile project management approach, project scopes are continually adapting based on customer feedback, analytics, and regulatory priorities. For this reason, and to maximize flexibility and efficiency, Customer Data Sharing breaks down its costs by element of expense – including labor, contract services, and overhead – rather than by project component or focus area."

Q. What is the fourth reason?

A. The fourth reason is that, as I will discuss, the projects categorized as "Operationally

Required" contain project elements best understood at strategic elements, and the Company is not always capable of providing project costs parsed by work category. For example, in response to DPS-951, which requested the program costs parsed by work category for the "AMI Systems Sustainability Program"--which is categorized by the Company as operationally required, strategic, and regulatory mandated--the Company states “AMI Systems Sustainability Program consists of multiple workstreams including not only the billing functions, but also safety of customers and services for operations, that are designed to meet regulatory mandates, operational needs, and strategic goals. It is difficult to separate work and cost estimates based on these categories because the work done covers all categories.” However, in response to DPS-970, the Company provided the costs associated with the IT System COE project parsed by work category, and the strategic costs accounted for approximately 30 percent of the total costs--which means a reduction to 70 percent accurately reflects the removal of

strategic elements.

Q. What is the fifth reason?

A. The fifth reason is that some project budgets estimations are primarily based on the costs incurred for projects the Company considers sufficiently similar. For example, the "Customer Recommendation & Analysis Tools" project provides the budget estimation methodology on page 12 of Exhibit___(IT-5-Upd) as being "based on historical Company costs for similar digital tools and enhancements such as DCX (Digital Customer Experience) and rate pilots". In response to DPS-988, which requests additional detail regarding the budget estimation, the Company states "CARE used the DCX project for estimations of project costs because both projects support the digital customer experience and have a public-facing experience. CARE looked to DCX for guidance on potential costs, such as for customer research, utilizing full-time or contract staff in roles such as product owners, business analysts, front-end and back-end developers, UI/UX, copy, system integrations, and testing." Overall, the

methodology and information provided does not enable precise adjustments to project budgets and such circumstances make a reduction to 70 percent a reasonable uniform budget adjustment method.

Q. Elaborate next on the reduction of project budget to the average of historical spending, inflated to 2026 dollars.

A. For all projects and programs proposed by the Company's IT Panel, where historical spend information was provided, I calculated and analyzed the average capital and O&M costs, adjusted for inflation, and inflated that amount to 2026 dollars. This amount, absent other circumstances, should enable a project or program to continue existing work processes but reduce the development of strategic project elements. When applying this methodology to establish my recommended funding level for certain projects, the recommended budget for Rate Year two is the Rate Year 1 recommended budget inflated to 2027 dollars, and the recommended budget for Rate Year three is the Rate Year 2 recommended budget inflated to 2028

dollars.

Q. Elaborate on the reduction of a project budget to the amount indicated by a linear forecast.

A. A linear forecast draws a straight line with available data and is a suitable method for extrapolating spending trends. This trend incorporates actual real-world market conditions and the Company's current practices and spending patterns. The amount provided by a linear forecast analysis, absent other circumstances, would enable a project or program to continue existing work processes and incorporates historical project growth. When applying this methodology to Rate Year two and rate year three, the line drawn by the linear forecast extends an additional two years.

Q. Where are these calculations presented?

A. These calculations are presented for each project within Exhibit___(AC-3).

Magnitude & Affordability of the IT Request

Q. How does the IT Panel capital budget request relate to historical IT capital expenditures?

A. According to the Company’s response to DPS-98, the IT capital budget represents a year over

year increase of 210 percent from 2024, the last known full year of expenditures, when the Company expended $468.595 million in capital for IT. The IT capital budget also represents a 177 percent increase over the inflation adjusted $533.759 million in IT capital expenditures occurring in 2023, which is the year of the highest IT spend since 2020 per the response to DPS-98.

Q. Was the Company undergoing any major projects or other improvements during 2020 through 2024 historical period, or was the Company primarily focused on maintaining operations?

A. During this period, the Company was conducting two major enterprise-wide upgrades. The Company planned, initiated, and deployed significant upgrades to its Customer Service System; and planned, initiated, and began deploying the Enterprise Geographic Information System upgrade, which continues to Phase 3 through the estimated in-service date of the fourth quarter of 2026. Additionally, the Company was developing other functionalities in its various on-going programs and made various strategic

investments. These efforts also coincided with the installation of Advanced Metering Infrastructure, or AMI, meters, which while not explicitly IT, has supporting IT elements.

Q. Does the Company provide any general justification for its overall IT budget request?

A. Yes, in initial testimony, the Company states on page 7 that it "strive[s] to exceed customer, stakeholder, regulator, and employee expectations by emphasizing innovation and staying abreast of industry trends, such as Generative Artificial Intelligence (GenAI). Additionally, we are modernizing technology platforms to enhance reliability and security."

Q. What is driving the Company's request?

A. On page 16 of the initial testimony, the Company identifies "O&M tails" as a driver, which are the O&M that arises to support IT systems developed and established through capital expenditures. The Company also identifies device inventory growth, maintenance costs for infrastructure equipment, automated processes, increasing telecommunication costs, and data center modernization that leads to increasing

maintenance and support costs for data center infrastructure as budget request drivers. In addition, the Company proposes significant capital expenditures including upgrades to IT infrastructure, data centers, fiber optics, yearly refreshes for Company devices, new and enhancements to existing analytics, new AI-enabled dashboard cameras for their entire fleet of vehicles, additional upgrades to the recently completed Customer Service System, and system overhauls and platform expansions.

Q. Generally, is the magnitude of the budget requested by the IT Panel adequately justified?

A. No. The IT Panel's budget request endangers current and future service affordability.

Q. How does the IT budget endanger current affordability?

A. IT expenditures have a greater dollar-for-dollar impact on the revenue requirement due to their, on average, shorter service lives relative to "traditional" utility assets such as distribution poles or service lines. Therefore, IT expenditures are, on average, recovered from customers over a shorter period than

"traditional" utility assets.

Q. How does the IT Panel's proposed budget endanger future service affordability?

A. The Company states that the cost of operating data centers is continuing to rise and identifies various reasons why the cost of operating IT is increasing in the IT Panel's exhibits and initial testimony, as previously discussed. One driver of this increasing costliness is the need to integrate new systems with existing systems. The Company's IT strategy is to consider this integration as an on-going and continuous process, and thus it is included as an element of multiple IT projects and as the main component of the Integration Technical Obsolescence project. These integration costs would increase if IT expands its scope, applications, connections, and other processes.

Q. Does the IT Panel's proposed budget endanger future service affordability in any other ways?

A. Yes. On page 17 of the initial testimony of the IT Panel, the Company states that incremental O&M funding is needed "for the increasing

maintenance and subscription contracts for overall IT infrastructure" and indicates that the modernization and improvement of data centers is, in part, driving the need for incremental O&M. The Company also states that "the costs associated with maintaining state-of-the-art data centers are on an upward trajectory" on page 61 of Exhibit___(IT-8) for project XM10 Tier 1_2 Computer Equipment Critical Infrastructure. However, despite the known IT cost drivers, the Company proposes analytic programs that generate data and necessitate data centers or data storage, including but not limited to, expansion of its Data and Analytics program into seven business areas as described on page 95 of the IT Panel's initial testimony. While some processes may leverage cloud infrastructure, that cloud infrastructure itself necessarily relies upon data centers. By expanding existing data usage and establishing new analytics, the Company applies growth pressure on the applicable systems that perform the analytics and store the related data.

Q. Do you have any other concern with the overall IT strategy described by the Company?

A. Yes. On page 12 of the IT Panel initial testimony, the Company states that "IT strives to achieve zero safety and cyber incidents, zero operating errors, and zero quality defects." While this is a laudable goal, there is no level of spending that can realistically achieve it. Truly obtaining this goal would directly result in the unaffordability of customer's bills. Incremental improvements that reduce the probability of such occurrences, or the magnitude of the impact of such occurrences, cannot be presumed to have benefits justified by the costs to obtain such improvements.

Q. Are any of the projects proposed by the Company's IT Panel necessitated by cyber security concerns?

A. No. In its IT Panel initial testimony on page 8, the Company states that "[t]he enterprise-wide cybersecurity request for the program is discussed in the Cyber and Physical Security Panel testimony. However, many projects and programs included with this Panel contain

cybersecurity components which are byproducts of, not the intent of, their function." As the cybersecurity improvements arising out of IT Panel projects are merely byproducts and not the intended purposes, such improvements cannot be reasonably understood as absolutely necessary to the level proposed by Con Edison to maintain current operational standards.

Q. Can you define a "project element"?

A. A project element defines what is to be done through the components of the project work or project deliverable contained within the overall project scope.

Q. Can you define an "insufficiently justified project element" in the context of IT?

A. In the context of IT, a project element is insufficiently justified when it meets two criteria. First, the project element is unnecessary to maintain current operational standards or to meet an operational standard that is certain to arise as a necessity. Second, the beneficial deliverable is not substantially certain to outweigh the cost of the project element.

Q. What is necessary to establish that a beneficial deliverable is substantially certain to outweigh the cost of a project element?

A. For a beneficial deliverable to be substantially certain to outweigh the cost, there must be adequate evidence supporting the estimated beneficial value of the deliverable, and adequate evidence supporting the estimated costs associated with the deliverable or overall project. Conversely, project elements with inadequate evidence supporting the estimated benefits, or inadequate evidence supporting the estimated costs, cannot be reasonably understood as sufficiently justified.

Q. Does the Company's IT Panel propose unnecessary or insufficiently justified project elements?

A. Yes. All my recommended adjustments are rooted in the elimination of insufficiently justified project elements.

Q. What is necessary to establish that a beneficial deliverable is substantially certain to outweigh the cost of a project element?

A. For a beneficial deliverable to be substantially certain to outweigh the cost, there must be

adequate evidence supporting the estimated beneficial value of the deliverable, and adequate evidence supporting the estimated costs associated with the deliverable or overall project. Conversely, project elements with inadequate evidence supporting the estimated benefits, or inadequate evidence supporting the estimated costs, cannot be reasonably understood as sufficiently justified.

Quality of Project and Program Information

Q. Do you have any general observations regarding the project and program justifications provided in the exhibits of Con Edison's IT Panel?

A. Yes. In DPS-1016, question 1, I requested any universal guidance that was provided to Company employees in the development of project contingency. In response to the question, the Company provided the document titled "Enterprise Program Management Office Capital Projects Playbook", dated February 4, 2019. We observe deviations between the requirements and forms presented in this playbook and those presented in Exhibit___(IT-4), Exhibit___(IT-5), Exhibit___(IT-6), Exhibit___(IT-7),

Exhibit___(IT-8), and Exhibit___(IT-9).

Q. What sections of the playbook are relevant to this testimony?

A. The relevant sections are the Cost Estimating Guide, Project Risk Management Guideline, Capital Optimization Guideline, and Project Summary Reporting Guideline. The Cost Estimating Guide and Capital Optimization Guidelines contain definitions for White Paper, contingency reserve, and contingency. The Project Risk Management Guideline identifies and defines three work categories: operationally required, regulatory mandated, and strategic. The Project Summary Reporting Guideline section provides the reporting requirements for projects. Additionally, the last five pages of the playbook provides a White Paper template.

Q. How does the Capital Optimization Guideline define "Regulatory Mandated"?

A. Page 1 of the Capital Optimization Guideline provides that the "Regulatory Mandated" designation "indicates that the Project or Program is agency mandated, and must be completed to meet government and/or regulatory

requirements", and that "failure to execute would imply the inability to comply with regulatory requirements and includes the possibility of fines and sanctions." The definition also provides that documentation must be available to substantiate the classification of a project as Regulatory Mandated.

Q. How does the Capital Optimization Guideline define "Operationally Required"?

A. Page 1 of the Capital Optimization Guideline provides that "Operationally Required" projects consist of four types: "Critical Repair", "Emergency Response", "System Capacity", and "Storm Hardening Projects". The Capital Optimization Guideline provides definitions for the four types on the same page.

Q. What is the definition of "Critical Repair"?

A. The definition states that "Critical Repair" projects require like-for-like replacement of failing components required to maintain the current level of reliability or to ensure the safety of Company employees or the public. The Company provides "personal computers, servers, telecommunication equipment, software and other

equipment that has failed or will fail" within the next year as examples of critical repair projects.

Q. What is the definition of "Emergency Response"?

A. Emergency Response, is defined as "emergency repairs that 'keeps the service on' and maintains current level of reliability," and "applies to projects that keep the 'operations of the company running i.e. data centers, call centers, business software etc."

Q. What is the definition of "System Capacity"?

A. The definition states that "System Capacity" "describe[s] work performed to relieve capacity constraints," and "in the common arena, this could include projects that provide increases in computing capacity to meet changing business requirements."

Q. Are there any flaws with how Con Edison is using these defined terms?

A. Yes. Con Edison’s use of "Operationally Required" is flawed, as it pertains to Information Technology, insofar that the Company has determined that it is applicable to projects that are not required to maintain existing

operations, or otherwise contain primarily strategic elements.

Q. What exactly is the flaw?

A. The Capital Projects Playbook defines "System Capacity" to be inclusive of projects that "provide increases in network and computing capacity to meet changing business requirements", but what is driving many of Con Edison’s request for network and computing capacity increases, which the Company labeled as operationally required, is not a business requirement as it is not needed to maintain current or needed operation but more for Con Edison’s aspirational proposals; therefore, for such projects they cannot be considered "Operationally Required".

Q. Would any of the operationally required projects fit within the "Emergency Response" category?

A. No. As previously discussed, the playbook defines "Emergency Response" to be inclusive of "emergency repairs that 'keeps the service on' and maintains current level of reliability", and this applies to "projects that 'keep the operations of the company running, i.e. data

centers, call centers, business software etc." The Company does not identify that any of the work proposed constitutes an emergency repair. Additionally, as previously discussed, the Company's IT Panel states in its initial testimony that cybersecurity is not the intent of any projects but instead an ancillary benefit. Although some projects indicate that service contracts are sunsetting or may sunset, cessations of contracts with known and mutually agreed upon service terms cannot be reasonably considered an emergency, which the Oxford dictionary defines as "a serious, unexpected, and often dangerous situation requiring immediate action".

Q. Would any of Con Edison’s operationally required IT projects fit within the "Critical Repair" category?

A. No. "Critical Repair" is defined to mean "replace failing (like for like)" components that are required to maintain the current level of reliability", and is extended to, "in the common Budget arena", "personal computers, servers, telecommunication equipment, software

and other equipment that has failed or will fail" within the next year. As written, "common budget arena" items must meet the same requirement of "failing" and "like for like" components. Given that the Company has not identified any "like for like" component replacements, this category would not apply. Additionally, for "common budget arena" items, the Company does not identify equipment that has failed or will fail within a year.

Q. Can you provide an example of a project Con Edison classifies as operationally required that you think is miscategorized?

A. Yes. The project "Connected Vehicles - Enterprise Vehicle Telematics", presented on pages 16 through 20 of Exhibit___(IT-7) is categorized as operationally required, but the work description on page 16 of Exhibit___(IT-7) states "The Company currently leverages a telematics technology solution to primarily support GPS asset track, with limited data and reporting capabilities. Through this project, the Company will advance the use of this technology solution with a more comprehensive

product that will provide the Company increased data for analytics that can lead to improved driver behavior and vehicle operating trends. The scope of the project includes purchasing and installing new devices that will provide telematics for the entire fleet as well as the installation of AI-powered cameras in all light and heavy duty vehicles." This describes a strategic IT investment, and there is no evidence to suggest that, absent this project, current operational standards will diminish.

Q. Can you provide another example of a project Con Edison labels as "Operationally Required" that contains strategic elements?

A. Yes, the REV-Grid Modernization (DSP), presented on pages 89 through 95 of Exhibit___(IT-6), is designated operationally required but the work description on page 90 states that the project includes enhancements to the Interconnection Online Application Portal "to improve the customer experience and create additional efficiencies". These improvements fit squarely within the "Strategic" work category that will be discussed more later in my testimony.

Q. Would "improvements and enhancements" necessarily arise from any IT Project that replaces hardware and software?

A. No. As computer hardware and software progresses, the computing power and data capacity delivered per dollar decreases. It is ultimately a choice for the Company to pursue upgrades or seek additional functionalities and technical capabilities once fundamental requirements are met. While some circumstances may necessitate investment, upgrading specifications beyond those currently necessary to maintain existing operational standards pushes a project towards an overall strategic nature.

Q. Are there any recommendations arising from this information?

A. Yes. In these proceedings, the Company has demonstrated the capability of parsing multi-faceted work into "operationally required" and "strategic" in the context of AMI. In response to DPS-928, the Company states that the "AMI Communication Steady State" project "describes the necessary steady state work to accommodate

changing conditions", whereas the "Transforming Outage Management with Advanced AMI integrations" project "focuses on enhancements". In its next rate filings, the Company should parse all IT projects to isolate, where feasible, the costs associated with maintaining current systems as-is and the costs arising from hardware and software upgrades that result in new functionalities or incremental improvements to system performance or cybersecurity. Where it this is infeasible, the Company should provide details as to why such parsing of information poses an undue burden or is otherwise cost prohibitive.

Q. Returning to the Capital Optimization Guideline, how does the guideline define "Strategic"?

A. Page 2 of the Capital Optimization Guideline provides that "Strategic" projects and programs include eight types, however, only five are relevant to this testimony: "System & Component Upgrades," "Strategic IT Enhancements," "Efficiency & Process Improvements," "Support (XM'S only)," and "Employee Development." The Capital Optimization Guideline defines these

terms on the same page.

Q. What is the definition of "System & Component Upgrades"?

A. It is defined as the "[r]eplacement/upgrades of equipment/components that will improve service or reliability."

Q. What is the definition of "Strategic IT Enhancements"?

A. The definition is: "[n]ew business IT applications and IT infrastructure/security projects that provide new capability."

Q. How are "Efficiency & Process Improvements" defined?

A. They are defined as: "projects/programs that will result in more efficiency and/or cost reduction."

Q. What is the definition of "Support (XM'S only)"?

A. The definition is: "[c]omputers, vehicles, telecommunication equipment, furniture and shop & lab equipment that is not considered 'operationally required', however the product has reached the point in its lifecycle where the cost of maintenance make it cost effective to replace."

Q. What is the definition of "Employee Development"?
A. Employee Development means "[t]raining, developmental, diversity and retention projects/programs."
Q. How does the playbook define "Contingency Reserve"?
A. Page 3 of the Cost Estimating Guide defines contingency reserve as "An amount of funds added to base cost estimate to cover estimate uncertainty and risk exposure." The definition also provides "Incorporation of contingency into authorized total project cost allows a project management team to cover estimate accuracy and risk exposure. Contingency reserve is not intended to account for major scope changes or force majeure events."
Q. How does the Capital Project Playbook define "Contingency"?
A. On page 3 of the Project Risk Management Guideline, section 3.2 defines contingency as "An event or occurrence that could affect the execution of the project that may be accounted for with a reserve."

Q. Does the definition of contingency match the application of contingency as applied by the IT Panel?

A. No. In response to DPS-596, the Company provides the estimated completion of scope and contingency applied to the project, which in the context of the definitions provided within the Capital Project Playbooks is equitable to Contingency Reserve. Thirty projects have a scope completion of 25 percent, which as defined by the Company means that "Objectives identified, general work timeframes identified, initial funding levels identified (budget in place) or baseline scoping documents created". The next level of scope completion, 50 percent, provides "Business Requirements/Design/Architecture/Integration specification work in progress, detailed estimates in progress, RFP/RFQ materials in progress." As previously discussed, "changing business requirements" can result in operationally required projects that "provide increases in network and computing capacity". Additionally, as previously discussed,

integration processes are a cost vector for projects. Taken together, the contingency applied to projects with a 25 percent scope completion must necessarily include presumptions about the project scope.

Q. What does the Project Summary Reporting Guideline provide?

A. Section 4.1 on page 5 of the Project Summary Reporting Guideline states that "It is the responsibility of the Project Manager to create, review and deliver PSRs at an interval required by the User Organization". Page 6 provides that the project status report should include a scope section that provides "a description of the work to deliver a product, service or result with the specified features and functions. Project Managers (PMs) can initially start with the scope description contained in the project charter but should review the scope description on the Project Status Report (PSR) each reporting period and make any necessary amendments needed to reflect the most recent scope and present time." Page 7 provides that the project status report also includes a

Financial Information section that provides spending information, which includes contingency.

Q. Does the Company track contingency spending?

A. Yes. While the Company states in response to DPS-1016 that its ”financial system generally does not [have] the capability to specifically track contingency spending”, the Project Summary Reporting Guideline sets forth enterprise-wide standards for developing project summary reports. Section 4.1 of the Project Summary Reporting Guideline states that “It is the responsibility of the Project Manager to create, review and deliver PSRs at an interval required by the User Organization and in accordance with this Guideline”; section 4.4, which requires the delivery of the PSR to management, states that management “will specify the delivery method”, “and at what intervals the PSR will be required (i.e., quarterly, monthly, weekly)”. Section 4.2, on pages 5 through 7 of the Project Summary Reporting Guideline titled “Creating a PSR”, provides elements included within the project summary reports.

Q. What is included within project summary reports?
A. Project status, which indicates whether the project is on-budget and on-schedule is established in section 4.2.b(2) of the Project Summary Reporting Guideline. Project scope, including "any necessary amendments needed to reflect the most recent scope and present time" is established in section 4.2.c(1) of the Project Summary Reporting Guideline. A project status update, including "the current state of the project, work completed in recent weeks, upcoming efforts and any issues or noteworthy events that have occurred within the reporting period" is established in section 4.2.d(1) of the Project Summary Reporting Guideline. The project schedule, including "the Percent Complete, the Deliverables, the Current Date and the baseline date for each applicable Enterprise Work Breakdown Structure (WBS) phases" is established in section 4.2.f of the Project Summary Reporting Guideline. Additionally, section 4.i.(1) establishes that the project summary reports contain the financial information, provided in the template: "Level 1

#, Level 2 #, Appropriated, Authorized, Project #, Spend YTD, Spend PTD, Year EAC, Project EAC, and Remaining Contingency." The template also provides notes that provide monthly updates to the financial information after close of books and updates to the current working estimate.

Q. Are there any recommendations arising from this information?

A. Yes. I recommend that the Commission direct the Company to include Project Status Reports in its quarterly capital project reporting, redacted as necessary to preserve confidentiality. This will enable parties to review project scopes and contingency spending as the projects progress.

Q. Returning to the definition of "White Paper", how does the Capital Project Playbook define the term?

A. The Capital Optimization Guideline defines White Paper on page 4 as a "document used in PI360 that consists of a series of inputs required to demonstrate the alignment of a capital project or program to the Company's strategic objectives, enterprise risk management efforts, and other long-term goals." The definition also

provides "It seeks to standardize the preparation of a business case, supports the optimization of a project portfolio through constraint analysis, and facilities performance reporting and cost management."

Q. Do the White Papers presented by the IT Panel fulfill this definition?

A. No. The definition states that the document "consists of a series of inputs required to demonstrate the alignment of a capital project"; here, the terms "series of inputs required" implies that the "series of inputs" provided in the White Paper template are "required" to "demonstrate the alignment of a capital project". However, the White Papers do not include all the inputs presented in the White Paper template, which is presented in the last five pages of the playbook.

Q. What inputs are provided in the White Paper template that are not included in documents presented in the IT Panel exhibits?

A. The documents presented in the IT Panel exhibits exclude sections "B" and "D" of the "Project / Program Summary", which provide the five-Year

Gross Cost Savings and Cost avoidance; and Investment Payback Period, respectively. Likewise, the "Funding Detail" sections of the IT Panel exhibits exclude the tables "Total Gross Cost Savings / Avoidance by Year" and "Total Ongoing Maintenance Expense by Year".

Q. Is the omission of these sections material?

A. Yes. By omitting these sections, the Company unduly burdens parties reviewing the filings. In previous rate cases, the Company included these sections and where appropriate provided “N/A”, or “Not Applicable”. Providing the sections and stating that the section is not applicable indicates to the reviewer that cost savings and cost avoidance is not applicable to the project or program—key information when evaluating the costs of programs. However, by omitting these sections, reviewers must directly interpret the White Papers to determine whether cost savings or cost avoidance arises from the project; and additionally, must determine whether and how such cost savings or cost avoidance are incorporated into the Company’s filings, workpapers, and ultimately revenue

requirement.

Q. Does the IT Panel exhibit omit any other information related to Cost Avoidance or Cost Savings required by the playbook?

A. Yes. The "Major financial benefits" section of the White Paper template, on page 3, provides the instruction "If the project/program results in cost savings identify the owning cost center (Organization) that will realize the savings and whether the savings are labor or non-labor. If non-labor include the expected FTE reduction and the baseline FTE utilized for the assessment." The IT Panel White Papers uniformly fail to include this information.

Q. Are there any other differences between the documents provided in the IT Panel exhibits and the White Paper template provided in the Capital Project Playbook?

A. Yes. Within the Capital Project Playbook, the "Major Financial benefits" section also instructs to "Explain major benefits (e.g., revenue increase, cost avoidance) and demonstrate these benefits using financial metrics (e.g., net present value, internal rate

of return, breakeven point, payback period) as calculated according to the CBA [Cost Benefit Analysis] guidelines." Generally, within the IT Panel exhibits this section presents qualitative information or no information at all.

Q. Please provide an example of the information provided in this section with the documents contained in the IT Panel exhibits.

A. The section within the "Customer Care & Billing Enhancements and Upgrade" project, on pages 75 through 92 of Exhibit___(IT-5) states that "Benefits are realized for enhancements through reduced error potential as systemic activities are leveraged in lieu of manual processes. System upgrades allow the application to keep pace with evolving requirements without the need for costly custom enhancements and activities." This is a description of how benefits would arise and does not use financial metrics; nor does it specify the nature or character of the benefit.

Q. Can you provide another example?

A. The section within "Back office Automation", presented on pages 1 through 7 of Exhibit___(IT-

5), provides "N/A", meaning “Not Applicable”.

Q. Any other examples you can provide?

A. The section within "Digital Customer Experience", on pages 125 through 221 of Exhibit___(IT-5), states "At this time, the program is not anticipating any cost savings."

Q. Are there any other differences between the documents provided in the IT Panel exhibits and the White Paper template provided in the Capital Project Playbook?

A. Yes. The Capital Project Playbook also provides, on page 3, instructions in the Summary of Financial Benefits and Costs section under the "Total cost" subheading stating "For software projects, segregate costs by each phase of development: feasibility, design, development, and production/implementation." While some projects parse total costs in such a manner, the overwhelming majority do not. Although it is not clear what is the definition of a software project, it is reasonable to assume that the projects proposed by the IT Panel contain projects that can be reasonably identified as software projects.

Q. Do you have any recommendations arising from this information?

A. Yes. I recommend that in Con Edison's next rate filings, all Information Technology White Papers parse total costs by feasibility, design, development, and production/implementation. Where parsing costs in such a way is infeasible, a statement should be included explaining why it is inapplicable or otherwise infeasible, and why that infeasibility or inapplicability is reasonable in the context of the project.

Q. Are there any other differences between the documents provided in the IT Panel exhibits and the White Paper template provided in the Capital Project Playbook?

A. Yes. The Capital Project Playbook White Paper template, on page 1, provides the instruction to "Justify the Work Plan Categorization and specify whether the work is part of a PCS order/audit", however, work descriptions of projects Con Edison labels as operationally required do not adequately justify why the project is designated as such.

Q. Provide an example of a work description that

does not adequately justify the work plan category designation.

A. The project work description for the "Integration Technical Obsolescence" project, on pages 89 through 96 of Exhibit___(IT-9), states that product support for "BizTalk", an integration application that interfaces systems, is ending in 2030, and that the project "aims to conduct thorough due diligence in selecting a future-proof integration platform". The Company provides no justification for why this thorough due diligence is necessary.

Q. Can you provide another example?

A. The "IT Quality Assurance & Compliance Office" project, presented on pages 32 through 34 of Exhibit___(IT-4), provides no justification for why the project is considered operationally required.

Q. Do you have any other general concerns with the Company's IT Panel exhibits and testimony?

A. Yes. There are also quality issues with the Company's filing, including breakages and errors that are inappropriate, undermine Staff confidence in the documentation, and complicate

consistency review.

Q. What is a breakage?

A. Breakage is a discrepancy among the exhibits, testimony, and the supporting financial models.

Q. What is a consistency review?

A. A consistency review is the process of examining information and cross referencing the information with what is contained in other sources. This review is necessary to prove that the information presented within exhibits and testimony is congruent with the information contained within the workpapers.

Q. What types of breakages did you encounter during the consistency review?

A. I encountered four types of breakages, breakages in values, breakages in identification, breakages in classification, and breakages in content.

Q. What is a breakage in value?

A. A breakage in value occurs when two documents contain incongruent or otherwise unequal values.

Q. What breakages in value were identified?

A. In the exhibits originally filed by the Company, there were breakages between the summary

exhibits, Exhibit__(IT-1), Exhibit__(IT-2), and the White Papers in the remaining IT Panel exhibits. Additionally, breakages were identified between the IT Panel's initial testimony and values presented in Exhibit__(IT-1) and Exhibit__(IT-2).

Q. Provide an example of a breakage in value.

A. The proposed project, Finance and Supply Chain Transformation, is a notable example of a breakage in value. The project White Paper, presented on pages 59 through 71 of Exhibit___(IT-7), provides a Rate Year 1 capital request of $130.573 million. On page 1 Exhibit___(IT-1), the Rate Year 1 capital request provided is $170.861 million.

Q. What consequences arises from breakages in values?

A. Breakages in value require significant effort to resolve; first, the correct value must be determined. Then, all documents or workpapers that contain that capital spending need to be reviewed to ensure the correct value is included. Additionally, reviewers must identify the need for modifications and coordinate these

corrections across disciplines and work streams. For example, a work stream that relies solely on the summarized capital spend presented in Exhibit__(IT-1) would be inaccurate.

Q. What is a breakage in identification?

A. A breakage in identification occurs when two documents reference the same information with alternative names or identifiers.

Q. Provide an example of a breakage in identification.

A. The proposed project, Customer Analytics, Reporting, and Engagement (CARE) and/or Customer Recommendation & Analysis Tools is a notable example of a breakage in identification. These two project names refer to the same project. The White Paper, presented on pages 59 through 65 of Exhibit___(IT-5), utilizes the name Customer Recommendation & Analysis Tools, whereas the summary exhibit, Exhibit___(IT-1), utilizes Customer Analytics, Reporting, and Engagement (CARE).

Q. What consequences arise from this type of breakage?

A. Breakages in identification require significant

effort to resolve; first, the correct identifier must be determined. Then, wherever the incorrect identifier appears it must be corrected, and that correction must be communicated across disciplines and work streams. Where breakages are systematic or otherwise omnipresent, a systematic identification and resolution of breakages between documents becomes necessary.

Q. What are breakages in classification?

A. A breakage in classification occurs when any data point is classified differently in different documents.

Q. Provide an example of a breakage in classification.

A. The accounting workpapers provided by the Company classify accounting line items by panel. However, some spending associated with the IT Panel is classified under other Company panels. This produces a breakage in classification.

Q. What consequences arise from this breakage?

A. Breakages in classification require significant effort to resolve. First, the correct classification must be determined. Thereafter,

the correction must be communicated across disciplines and work streams to ensure consistency.

Q. What is a breakage in content?

A. Breakages in content arise when documents provide alternative factual information, excluding value information.

Q. Provide an example of a breakage in content.

A. The proposed project, Enterprise Geographic System (EGIS) Implementation Phase 3, presented on pages 33 through 39 of Exhibit___(IT-6) contains a notable example of a breakage of content. On page 33, the project work description of the White Paper provides that Phase 2 of the project began in 2020 and ends in the fourth quarter of 2024, but the Justification Summary section provides, on page 35, that "The Company is in the processes of transferring the distribution system as described in Phase 1 and Phase 2 above, the roll out for these phases will occur by borough…"; meaning that, within the same document, it is unclear whether Phase 2 ended in the fourth quarter of 2024 or if the Company is in the

process of transferring the distribution system as described in Phase 2 of the works scope.

Q. What consequences arise from this breakage?

A. Breakages in content require significant effort to resolve; after identifying conflicting statements, the correct statement must be determined, and that correction needs to be communicated across disciplines and work streams to ensure consistency and understanding of the Company's proposal.

Q. What is the overall effect of the breakages?

A. The breakages establish an undue burden on the review process and raise significant concerns regarding the accuracy and veracity of the information presented by Con Edison. Ultimately, the Company is burdened with justifying the budget request. By submitting filings with significant breakages, Staff must invest many hours in undue efforts in ensuring consistency and accuracy of the information prior to doing our needed analysis that is used to make Staff recommendations.

Q. Do the adjustments proposed you include consideration of the breakages?

A. No. While the observed breakages are problematic, a significant effort was undertaken to resolve the breakages.

Q. Do any recommendations arise from these circumstances?

A. Yes. The Company should be ordered to include in its subsequent rate filings a comprehensive mapping document that identifies and accounts for breakages in classification and identification. This mapping would identify all projects and programs proposed by the Company by panel, and specify how the capital, incremental O&M, and workforce requests are represented within the Company's financial models. This is beneficial compared to the current processes, where Staff reviews the Company's filings, discovers discrepancies, and then resolves the discrepancies through mapping and communication with the Company. The current process poses an undue burden and the parties to these and future proceedings should have timely access to information critical to the review of the Company's requests.

Operationally Required Projects/Programs

Q. Do you recommend any adjustments to projects or programs designated as operationally required?

A. Yes, I recommend adjustments to 32 operationally required projects.

Q. Would a reduction or denial to the funding of a project or program Con Edison labels as operationally required necessarily impact current operational standards?

A. No. In DPS-594, question 2, I asked whether the proposed project budgets represented the minimum amount necessary to support continued operations, and to indicate whether the project/program scope include upgrades, improvements, or expansions of services/functionalities that are not operationally required. The Company's response to DPS-594 indicates for all projects, the project budget represents the minimum support necessary. Additionally, the Company states that it "reviewed the scope of work, associated timelines, and other factors to determine the support levels required to effectively implement and adequately support each program. The

proposed budgets reflect the minimum support necessary." However, I disagree with the veracity of the statement and observe that the overwhelming majority of the operationally required projects contain elements that cannot be reasonably construed as necessary to maintain current operational standards. As previously discussed, the definition and Con Edison's use of the term Operationally Required is flawed. There are clearly project elements contained within projects designated as operationally required that are necessary for maintaining current operational standards. However, some projects fail to meet the Company's definition of a project that is operationally required and most projects contain elements that are better understood as strategic.

Q. What projects and information is addressed by the Company in response to DPS-596?

A. Con Edison's response to DPS-596 relates to all projects and contains information related to contingency, project scope, avoided costs; and contains the actual historical capital and O&M spending for each project.

Q. What contingency information is included in response to DPS-596, and how does it relate to your testimony?

A. The Company provided the contingency percentage level it proposed for each project. The contingency provided is equitable to the Contingency Reserve; therefore, if the Company's project estimates were perfectly accurate, the contingency funds would be unspent at project completion. This contingency value represents, in part, the Company's understanding of a project's financial uncertainties, with larger uncertainty resulting in a larger contingency. This value is relevant to my review of all projects because, as previously discussed, affordability concerns necessitate avoiding unnecessary project cost elements not substantially certain to produce benefits that outweigh their cost.

Q. What avoided cost information is included in response to DPS-596, and how does it relate to your testimony?

A. The Company provided the estimated avoided costs that would arise for each project. As

previously discussed, the Company's IT Panel's White Papers omitted the avoided cost and savings sections and the avoided cost summary tables and affordability concerns necessitate avoiding unnecessary project elements not substantially certain to produce benefits outweighing their cost. Cost avoidance is a key element of the cost-benefit analysis; in the context of IT, cost avoidance can arise through the reduction of labor expenses or the reduction of on-going operation and maintenance costs. As cost avoidance directly implicates the cost-benefit analysis, the certainty and magnitude must be considered when evaluating project justification.

Q. What project scope is included in response to DPS-596, and how does it relate to your testimony?

A. The Company provides the percentage of completion of the project scope as either 0, 25, 50, 75, or 100 percent. These values represent the overall understanding of the work that needs to be completed and what the Company seeks to achieve through the work. As previously

discussed, affordability concerns necessitate avoiding unnecessary project elements not substantially certain to produce benefits outweighing their cost. Changes to project scope completion materially influences cost estimations; for example, the Company increased the project scope for the eGIS Phase 3 project and that resulted in an increase of project costs. This is relevant to my testimony, as projects without a well-defined and developed project scope have lower certainty as not only the total project costs, but also the benefits that would arise.

Q. What historic capital expenditure and O&M information does the Company provide in response to DPS-596?

A. The Company provides the actual 2024 capital expenditure and total O&M for each project. The initially filed exhibits contain forecasted values for 2024 capital expenditures and O&M; utilizing the actual values increases the accuracy of spending forecasts.

Customer Operations

Q. Provide an overview of the Contact Center Cloud

project.

A. The project is within the Customer Operations organization, is currently in-progress, and is presented on pages 54 through 58 of Exhibit__(IT-5). For capital expenditures, the Company forecasts $1.800 million in 2025. For O&M, the Company spent 1.600 million in 2024.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Contact Center Cloud project has a scope completion of 50 percent and that the project cost does not contain a contingency amount. Additionally, the Company estimates that the project would result in total cost avoidance of $7.42 million in O&M costs in 2027 through 2028. The Company also states in response to DPS-596 that no capital funds and $1.60 million of O&M funding was spent on the project in 2024.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requested $6 million in Rate Year 1, $4.500 million in Rate Year 2, and $2 million in Rate Year 3. For

incremental O&M, the Company requests $7.100 million in Rate Year 1 and $0.1 million in Rate Year 2. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.200 million and the incremental O&M to $4.970 million. Due to a data entry error, the Staff Depreciation Panel was provided a recommended Rate Year 1 capital funding level of $1.689 million for this project, which is incorrect, and that value was used to determine the Staff recommended revenue requirement in these proceedings. The revenue requirement Staff is recommending to the Commission should instead reflect a Rate Year 1 capital budget of $4.200 million for this project. The correct value is identified in Exhibit___(AC-2) and Exhibit___(AC-3).

Q. How did you determine the recommended budget?

A. The proposed capital budget was calculated by reducing the capital budget proposed by the Company to 70 percent of the proposed amount;

my recommended incremental O&M was the amount was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains inadequately justified project elements. As stated within the White Paper, on page 55 of Exhibit__(IT-5), the project work description includes "Implementation of a learning and training platform," which squarely fits within the strategic and not operationally required category. Other strategic elements are discussed on page 57 of Exhibit__(IT-5), the non-financial benefits section of the page states the project provides "improved relationships with external stakeholders and customers", "more functionality and flexibility", and "improved cybersecurity". As the Company has not provided evidence supporting the necessity of these strategic elements or that the benefits of such elements will outweigh the costs, the elements are insufficiently justified. Additionally, the Company identifies that the project scope is 50 percent complete and that the budget estimate does not include

contingency funds. Since the project scope is 50 percent complete and the Company has yet to determine the contingency values appropriate for the project, the Company is positioned to modify the project scope to reflect my recommended budget. In addition, although the Company states that avoided costs of $7.42 million would arise from the project in Rate Year 2 and Rate Year 3, the total costs for the project outweighs the avoided costs as provided in the White Paper. For these reasons, we recommend reducing the Rate Year 1 capital budget. The lower reduction of O&M costs is in recognition that costs to operate and maintain system may still rise despite lower capital investment.

Q. Provide an overview of the Customer Care & Billing Enhancements and Upgrade project.

A. The project is within the Customer Operations organization, is an on-going project, and is presented on pages 75 through 82 of Exhibit___(IT-5). Con Edison spent $28 million in 2024, and the Company forecasts $21.790 million in capital expenditures for the project in 2025. The Company states that there were no

O&M spending for the project in the years 2020 through 2024, and forecasts none for 2025.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the project has a scope is 25 percent complete and that the project funding does not contain a contingency amount. Additionally, the Company estimates that the project would result in the avoidance of $14.31 million in O&M from 2029 through 2031. The Company also states in response to DPS-596 that $28 million of capital funding and no O&M funding was expended on the project in 2024.

Q. What capital funding does the Company request for the project?

A. The Company requests $28.066 million in Rate Year 1, $28.176 million in Rate Year 2, and $89.406 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend a reduction to Con Edison’s proposed funding level?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $19.646 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. The project contains inadequately justified project elements. On page 75 of Exhibit__(IT-5), the Company states that it "successfully completed the installation of Oracle's Customer Care and Billing (CC&B) system." In this project, the Company proposes additional improvements to the CC&B system, which over-ran the original budget estimations by approximately $70 million according to the Petition for Authorization to Capitalize, Subject to Commission Review, Incremental Costs to Implement A New Customer Service System, filed in the previous rate proceeding, Case 22-E-0064. On page 76 of Exhibit__(IT-5), the project work description states that "Ongoing Hardware and Software Enhancements" will "enable the performance baseline that customers expect but

also maximize system performance on an on-going basis." Page 76 of Exhibit__(IT-5) also provides activities associated with the enhancements, including "updates to functional designs", "testing of enhancements and newly design features", "upgrades to functions in the CC&B system, such as the retention of new data elements or new integrations." The Company states on page 80 of Exhibit__(IT-5), in the "Non-Financial Benefits" subsection, that "enhanced user interface improves CSR/back-office onboarding, accelerates training and proficiency", and the project "improves CSR interaction quality be leveraging automated workflows", as well as "positions the Company to adapt more quickly and efficiently to new and evolving technology, such as process automation." These elements fit squarely within the strategic work category, and the Company has not provided sufficient evidence that the benefits of these elements will outweigh the cost.

Q. Are there any other reasons for the adjustment?

A. Yes. The Company states in the Alternatives

subsection section of the White Paper, on pages 79 and 78 of Exhibit__(IT-5), that to not proceed with the project would "Risk non-compliance with the Company's software development lifecycle policy, which prohibits use of unsupported applications", but notes that support continues into 2029. However, in response to DPS-596, the Company indicates that no avoided costs will arise from the project. In response to DPS-596, the Company also indicates that the project scope completion is 25 percent, meaning that the project has yet to identify business objectives or create detailed cost estimations. Additionally, the Company states in the project work description subsection on page 76 of Exhibit__(IT-5) that the project includes efforts related to the Integration Technical Obsolescence project, for which I recommend budget reductions. For these reasons, a reduction in project budget is warranted. As the scope completion is 25 percent, the Company can reduce the project scope to fit within the proposed budget.

Q. Provide an overview of the Enterprise Data

Privacy program?

A. The program is within the Customer Operations organization, is categorized as operationally required, is currently an on-going program, and is presented on pages 145 through 161 of Exhibit___(IT-5). For capital expenditures, the Company spent $4.461 million in 2023, $5.020 million in 2024, and the Company forecasts $3 million in capital expenditures in 2025. For O&M, the Company states that it expended $0.46 million in 2024 and the Company forecasts $1.102 million in O&M spending for the project in 2025.

Q. What information did the Company provide regarding the program in response to DPS-596?

A. The Company indicates that the Enterprise Data Privacy program is comprised of components with various levels of scope completion and that project cost estimates include a three percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. What capital funding, incremental O&M, and full-time employees, or FTEs, did the Company request for the project?

A. For capital funding, the Company requests $15.600 million in Rate Year 1, $16.800 million in Rate Year 2, and $9.360 million in Rate Year 3. For incremental O&M, the Company requests $6.364 million in Rate Year 1, -$1.968 million in Rate Year 2, and $0.161 million in Rate Year 3. The Company requests 10 FTEs in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend a reduction to the funding level proposed by Con Edison?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $5.063 million and the incremental O&M to $4.396 million.

Q. How did you determine the recommended capital budget?

A. Our capital budget recommendation was calculated by inflating the average of historical spending, to 2026 dollars, and the proposed incremental O&M was reduced by the same percentage level as the capital expenditures.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified

elements. On page 146 of Exhibit__(IT-5), the program work description states the program "enhance the privacy portfolio, further the Company's privacy maturity, and improve customer confidence". The Company continues on page 147 of Exhibit__(IT-5), stating that the program would "reduce the extent and impact of the risk of a cyber event", and "reduce direct costs of data storage and manage", and "support legal hold management", as well as "improve PI/PII record management efficiency and reducing manual effort". There is no evidence to suggest that the benefits potentially arising from these project elements will outweigh the costs, and there is no evidence to suggest that the current standards and practices are insufficient or otherwise inadequate. These elements, which provide incremental improvements, are insufficiently justified. My recommended capital budget, based on the historical 2024 capital spending adjusted for inflation, enables the Company to continue improvements and support the original build work deployed in 2024.

Q. Does the adjustment include an adjustment to

FTEs?

A. Yes, the adjustment includes the removal of seven FTEs commensurate with the reduction in project scope.

Customer Energy Solutions

Q. Provide an overview of the Grid Edge Renewable Laboratory (GERL) project.

A. The project is within the Customer Energy Solutions organization, is currently in-progress, and is presented on pages 13 through 21 of Exhibit___(IT-6-Upd).For capital expenditures, the Company spent $0.113 million in 2023, $1.999 million in 2024, and the Company forecasts $2.250 million for the project in 2025. The Company states that there was no O&M spending in this period and the Company does not forecast any O&M for 2025.

Q. What additional information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the project has a scope completion of 50 percent and that project cost estimates include 20 percent contingency. Additionally, the Company indicates that the

project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requested $7.283 million in Rate Year 1, $7.955 million in Rate Year 2, and $6.695 million in Rate Year 3. For incremental O&M the Company requests $1.500 million in Rate Year 1, $0.6 million in Rate Year 2, and $2.700 million in Rate Year 3. For FTEs, the Company requests 1.5 in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend a reduction to the funding level proposed by Con Edison?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $5.098 million and reducing the Rate Year 1 incremental O&M to $1.050 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed

value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements that are insufficiently justified. On page 14 of Exhibit___(IT-6-Upd), the Company states in the justification summary section that "During the 2023-2025 rate period Con Edison made initial investments focusing on enabling benefits and solving challenges in the next 3-5 years". As this three to five-year period extends beyond the immediate rate period, the Company has already invested sufficiently to meet immediate challenges. On page 16 of Exhibit___(IT-6-Upd), the Company states in the justification summary section that the project includes "Improving the DER ownership experience", which would be accomplished through "piloting and testing new technologies, such as smart inverters, and other means of voltage management, bulk system support, and communication and interactivity"; these elements fit squarely within the strategic category. There is no evidence that indicates that the benefits of these elements will

outweigh the cost. For these reasons, a reduction in project budget is warranted. Additionally, the Company notes in response to DPS-596 that the project has a scope completion of 50 percent, so the Company can modify project scope to fit within my recommended budget.

Q. Provide an overview of the REV-Grid Modernization (DSP) project.

A. The project is within the Customer Energy Solutions organization, is an on-going project, and is presented on pages 33 through 40 of Exhibit___(IT-6). For capital expenditures, the Company spent $24.535 million in 2020, $44.497 million in 2021, $53.147 million in 2022, $55.898 million in 2023, $45.115 million in 2024, and the Company forecasts $61.836 million in capital expenditures for the project in 2025. For O&M, the Company states that it expended $0.775 million in 2020, $0.923 million in 2021, $0.535 million in 2022, $2.452 million in 2023, $2.870 million in 2024, and the Company forecasts $4.332 million in O&M costs for the project in 2025.

Q. What additional information did the Company

provide regarding the project in response to DPS-596?

A. The Company indicates that the REV-Grid Modernization (DSP) has various levels of scope completion and states that the applied contingencies range between five percent and 25 percent. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding the Company request is $57.761 million in Rate Year 1, $57.391 million in Rate Year 2, and $56.088 million in Rate Year 3. For O&M, the Company requests a reduction of -$1.440 million in Rate Year 1, -$0.06 million in Rate Year 2, and -$0.254 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend a reduction to the funding level proposed by Con Edison?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $50.359 million.

Q. How did you determine the recommended capital

budget?

A. The proposed capital budget was calculated based on inflating the average of historical spending to 2026 dollars.

Q. What is the rationale for the adjustment?

A. According to historical spending information provided on page 39 of Exhibit___(IT-6), the Company has invested significant resources in the REV-Grid Modernization (DSP) program in the last four years, $223 million since 2020. Although the project contains justified elements, increasing the rate of investment is not justified. As indicated in response to DPS-926, the Demand Tracking System is currently functional, data integrity is adequate for current purposes, the Company is currently capable of detecting trends, investments in the Interconnection Online Application Portal and Demand Response Management System are currently adequate, and the current customer experience is adequate. There is no evidence that indicates that the benefits of these additional project elements will outweigh the costs. While investments in these systems may be necessary in

the future, they are clearly not necessary at this time. My recommended budget for the program, the inflated historical average projected into Rate Year 1, enables the Company to continue its current efforts.

Q. Provide an overview of the Transforming Outage Management with Advanced AMI Integrations project.

A. The project is within the Customer Energy Solutions organization, is currently in planning, and is presented on pages 49 through 62 of Exhibit___(IT-6-Upd). There is no historical spending data, nor any forecasted 2025 expenditures associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Transforming Outage Management with Advanced AMI Integrations project has a scope completion of 25 percent and that project estimates include 20 percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. What capital funding and incremental O&M does

the Company request for the project?

A. For capital funding, the Company requests $6.511 million in Rate Year 1, $6.933 million in Rate Year 2, and $22.470 million in Rate Year 3. For incremental O&M, the Company requests $0.021 million in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. In concurrence with the Staff Electric Resilience and Reliability Performance Mechanism Panel, I recommend that the Commission reject and not fund the project.

Q. What is the rationale for the adjustment?

A. The project is unnecessary to maintain current operational standards and is inadequately justified. In response to DPS-928, the Company stated that the work "focuses on enhancements to the Company's outage management applications and tools to streamline operations and further benefit the Company's AMI steady state." Additionally, in response to DPS-928, the Company states that the current operator

response is sufficient. The Company also states in response to DPS-928 that it currently takes "approximately 1-2 minutes for an operator to retrieve data from each smart meter during an outage event", and the project is "expected to reduce data retrieval time by up to 50%", which is an insignificant optimization for a currently sufficient process. The Company also states in response to DPS-928 that current restoration processes are sufficient. The Company is also leveraging or beginning to leverage AMI in other contexts. For these reasons, I recommend that the Commission deny the Company's request.

Q. Provide an overview of the Integrated Grid Management Visualization Optimization (IGMVO) project.

A. The project is within the Customer Energy Solutions organization, is currently in planning, and is presented on pages 22 through 32 of Exhibit___(IT-6-Upd).

Q. What historical capital funding and O&M information does the Company provide for project?

A. The Company states that there were no capital

expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. For O&M, the Company states that it expended $2.271 million in 2024, and the Company does not forecast any O&M for 2025 related to the project.

Q. What information does the Company provide regarding the project in response to DPS-596?

A. The Company indicated that the Integrated Grid Management Visualization Optimization (IGMVO) project has a scope completion of 75 percent and that project estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance. The Company also states in response to DPS-596 that zero dollars of capital funding and $2.271 million dollars of O&M funding was expended on the project in 2024.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $26.947 million in Rate Year 1, $30.783 million in Rate Year 2, and $27.200 million in Rate Year

3. For incremental O&M, the Company requests $3.025 million in Rate Year 1, $0.96 million in Rate Year 2, and $1.980 million in Rate Year 3. For FTEs, the Company requests 8.5 in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd) and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $18.863 million and reducing the incremental O&M to $2.118 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. The Company states, in the project work description on page 23 of Exhibit___(IT-6-Upd), that the project "builds off the work

completed to date" on the Distributed Energy Resource Integration and Management (DERIM) system, which “enhanced the accuracy and quality of DER data, consolidated it into a system of record, established reporting automation, and made the data available to internal users.” The Company states, in project work description on page 23 of Exhibit___(IT-6-Upd), that the project will "expand on these capabilities and create new ones." In response to DPS-953, the Company states that "The IGMVO is operationally required to advance DER connection to the grid", and "it is not operationally required to maximize DER value to the grid."

Q. Are there any other elements within the projects more reasonably considered “strategic”?

A. Yes. The Company states under the “DER Data and Program Management” subheading, on page 24 of Exhibit___(IT-6-Upd), that the project would “enhance the DER database system of record with a hierarchical model and additional parameters”. It also provides “enhance tracking of customer DERs participation”. The “DER Modeling and Simulation” subheading, on pages 24 through 25

of Exhibit___(IT-6-Upd), provides "automate hosting capacity map updates" and "enhance load flow application capabilities". The "DER Monitoring and Control" subheading provides "enhance options for flexible interconnection". The "Grid Operations in Coordination with DER", on page 25 of Exhibit___(IT-6-Upd), provides "enhance grid visibility with integrations", "enhance updates of current day dispatch", "investigate grid optimization capabilities." The "Program Dispatch and Market Coordination", on page 25 of Exhibit___(IT-6-Upd), subheading provides "enhance DER transaction capabilities", and "enhance and expand grid services". These enhancements are more reasonably understood as "strategic", as they provide new capabilities, improve efficiency, or improve services. There is no evidence indicating that the benefits arising from these elements will outweigh the costs. For these reasons, a reduction of budget is warranted.

Electric Operations

Q. Provide an overview of the IT OT Tower Sustainability project.

A. The project is within the Electric Operations organization, is currently in-progress, and is presented on pages 64 through 69 of Exhibit___(IT-6). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. The Company states that there was no O&M costs for the project in the years 2020 through 2024, and the Company does not forecast any O&M for 2025 related to the project.

Q. Is it accurate to consider the project in-progress when there is no recorded historical spending?

A. No. As the project would be initiated in 2025, considering the project as in the initiation/planning stage would be more appropriate.

Q. What additional information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the IT OT Tower Sustainability project has a scope completion of

50 percent and that project funding estimates include a 10 percent contingency. Additionally, the Company indicates that the project would result in modest avoided costs but does not articulate an amount.

Q. What capital funding and incremental O&M does the Company request for the project?

A. For capital funding the Company requests $4.112 million in Rate Year 1, $4.232 million in Rate Year 2, and $5.327 million in Rate Year 3. For incremental O&M, the Company requests $0.3 million in Rate Year 1, $0.3 million in Rate Year 2, and $0.1 million in Rate Year 3. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $2.878 million and the incremental O&M to $0.21 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed

by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary to maintain current operational standards. While the Company states on page 66 of Exhibit___(IT-6) that the project would help by "reducing the costs associated with fixing security issues-post deployment", and the three major financial benefits provided on pages 67 and 68 of Exhibit___(IT-6) are "lower costs", "reduced expenses" and "decreased support costs", the Company indicates in response to DPS-596 that the project would result in "modest" avoided costs. These elements, alongside “adopt and incorporate latest technology trends” and “improving application performance”, and “strengthening cyber security” fit squarely within the strategic work category. There is no evidence to indicate that the benefits arising from these project elements will outweigh the costs. Further, the project work description on page 64 of Exhibit___(IT-6) states that the

project includes the Enterprise Geographic Information Enterprise System (eGIS), Outage Management System (OMS), and control centers, and we recommend reductions to the budget associated with the eGIS, OMS, and control center, therefore a reduction in this project budget is warranted. Additionally, the Company states in response to DPS-596 that project scope completion is 50 percent; therefore, the Company has the ability to refine the project scope to fit within my recommended budget.

Q. Provide an overview of the OMS IT System Hardening (OMS System Hardening and Modernization) project.

A. The project is within the Electric Operations organization, is an on-going project, and is presented on pages 78 through 83 of Exhibit___(IT-6). For capital expenditures the Company spent $7.933 million in 2020, $9.620 million in 2021, $16.073 million in 2022, $4.709 million in 2023, $2.826 million in 2024, and the Company does not forecast any capital expenditures in 2025 related to the project. The Company states that that the project

incurred $0.513 million in O&M in 2024 but does not forecast any O&M for 2025 related to the project.

Q. What additional information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the OMS IT System Hardening (OMS System Hardening and Modernization) has various levels of scope completion and that project funding estimates include 15 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $1.1 million annually in 2029.

Q. What capital funding and incremental O&M does the Company request for the project?

A. For capital funding the Company requests $24.929 million in Rate Year 1, $19.067 million in Rate Year 2, and $13.821 million in Rate Year 3. For incremental O&M, the Company requests $1.395 million in Rate Year 1, $0.05 million in Rate Year 2, and $1.613 million in Rate Year 3. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. In concurrence with the Staff Electric Resilience and Reliability Performance Mechanism Panel, I support reducing the Rate Year 1 capital budget to $9.515 million and the incremental O&M to $0.532 million.

Q. How did you determine the recommended capital budget?

A. The proposed capital budget was calculated by inflating the average of historical spending to 2026 dollars; the O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. Elements of the project are insufficiently justified. On page 78 of Exhibit___(IT-6), the Company states that the project will enhance the weather model, improve applications downstream to the Outage Utility Analytics platform. On page 79 of Exhibit___(IT-6), the Company states that the project would include further enhancements to workflows and reporting categories. However, in response to DPS-954, the Company indicates that the current weather

model is sufficient, the applications downstream of the Outage Utility Analytics platform are currently functional, that current workflows are adequate and sufficient, that current reporting capacities are adequate and sufficient, and that the Outage Map currently provides updates in a reliable and timely manner. There is no evidence that indicates the benefits of these elements will outweigh the costs. For that reason, a reduction of project budget is warranted. Additionally, the Company notes in response to DPS-596 that the project has various levels of scope, so the Company can modify the project scope to fit within my recommended budget.

Q. Provide an overview of the Outage Scheduling System (OSS) Replacement project.

A. The project is within the Electric Operations organization, is currently in planning, and is presented on pages 172 through 175 of Exhibit___(IT-7). There is no historical spending data or any forecasted 2025 expenditures associated with the project.

Q. What information did the Company provide

regarding the project in response to DPS-596?

A. The Company indicates that the OSS Replacement project has a scope completion of 25 percent and that project estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding did the Company request for the project?

A. For capital funding, the Company requests $6.081 million in Rate Year 1, $2.025 million in Rate Year 2, and $1.795 million in Rate Year 3. This request is presented in Exhibit___(IT-1-Upd).

Q. Do you recommend adjusting the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $3.041 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company by 50 percent.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified project elements. The Company states on page

173 of Exhibit___(IT-7) that continuing with the existing system will result in "most of the processes being done manually". The Company indicates in response to DPS-955 that there are currently no manual processes. On page 173 of Exhibit___(IT-7), the project White Paper states that support for the existing system will cease in Q1 2027, and that the "release" of the new system would occur in 2028—meaning that the Company has already considered and accepted the risk of operating on the platform when support ceases. For these reasons, it is reasonable to delay the project from the proposed start date of January 1, 2026, by six months to July 1, 2026. As the high-level project timeline provided in the workpaper indicates that "requirement gathering" and "design and development" will occur within 2026, the half-year delay can be reasonably assumed to result in a 50 percent reduction in capital expenditures.

Q. Provide an overview of the Connected Vehicles - Enterprise Vehicle Telematics project.

A. The project is within the Electric Operations

organization, is currently in planning, and is presented on pages 1 through 5 of Exhibit___(IT-7-Upd).

Q. What historical capital funding and O&M information does the Company provide for project?

A. The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. For O&M, the Company states that it expended $0.162 million in 2021, $0.128 million in 2022, $0.015 million in 2023, $3.969 million in 2024, and the Company did not forecast any O&M for 2025 related to the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Connected Vehicles - Enterprise Vehicle Telematics project has a scope completion of 25 percent and that project estimates include 25 percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

The Company also states in response to DPS-596 that zero dollars of capital funding and $3.969 million dollars of O&M funding was expended on the project in 2024.

Q. What capital funding and incremental O&M does the Company request for the project?

A. For capital funding, the Company requests $17.770 million in Rate Year 1, and $0.09 million in Rate Year 2. For incremental O&M, the Company requests $0.074 million in Rate Year 2. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission reject the project and deny the requested funding.

Q. What is the rationale for the adjustment?

A. This project is not adequately justified. The Company states in the project work description on page 1 of Exhibit___(IT-7-Upd) that the Company "currently leverages a telematics technology solution"; and that, through the project, will "advance the use of this technology solution that will provide the

Company increased data for analytics that can lead to improved driver behavior and vehicle operating trends." On page 1 of Exhibit___(IT-7-Upd), the Company states that "the project scope includes purchasing and installing new devices" and "AI-powered cameras" in the Company's entire fleet of approximately 4900 vehicles. On page 2 of Exhibit___(IT-7-Upd), the Company states in the justification summary of the that the new system would allow developments of reports that would provide an "enhanced outage experience", however, as previously discussed regarding the OMS System Hardening and Modernization project, the Company's current outage maps are adequate. In response to DPS-972, the Company states that the project "promotes safer vehicle operation by providing insights into vehicle trends and driver behavior, which is needed to maintain (and/or improve) operational standards." However, there is no evidence indicating that declining driver behavior is driving a decline in safe vehicle operation.

Q. Do you have any other concerns with the project?

A. Yes. The attachment to the response to DPS-972, "Leveraging Large-Truck Technology and Engineering to Realize Safety Gains: Video-Based Onboard Safety Monitoring Systems" is disconnected from the proposed project; the cost-estimate developed within, published September 2017, utilizes a hardware estimate of $300 to $600 per system, with a $0 to $150 installation cost and a $20 to $60 reoccurring cost. Adjusting for inflation from 2017 to 2026, these average to about $600, $100, and $53 dollars for the system, installation, and reoccurring charges, respectively. As proposed by the Company the cost is approximately $3,600 per vehicle, plus a reoccurring cost of $191 per vehicle; this difference in costs is material. Additionally, the technology discussed within the paper has fundamental technical differences with the technology proposed by the project; the technology does not include Artificial Intelligence or coaching prompts.

Q. Are any other attachments to DPS-972 disconnected from the project?

A. Yes. The attached report published by the

Virginia Tech Transportation Institute highlights study limitations that undermine the applicability to the proposed project; notably, the test driver was a Caucasian male who wore glasses and a white shirt for contrast, and that "Various races, genders, and clothing typer were not tested." Therefore, the results of the interior camera may differ under different driver characteristics." Given that the Company's workforce is not uniformly Caucasian males wearing white shirts and glasses, the technological study is disconnected from real-world conditions. A ramification of this limitation is that the technology may result in discriminatory practices—meaning it may operate differently when applied to various races, genders, and clothing types. For these reasons, denying the project is warranted.

Gas Operations

Q. Provide an overview of the Gas_IT_Projects_GOSS and Gas Application and Hardware Upgrade project.

A. The project is within the Gas Operations organization, is categorized as operationally

required, is currently in-progress, and is presented on pages 9 through 12 of Exhibit___(IT-6-Upd). For capital expenditures the Company spent $3.100 million in 2024 and the Company does not forecast any capital expenditures in 2025. For O&M, the Company states that the project expended $0.254 million in 2021, $0.288 million in 2022, $0.296 million in 2023, $2.801 million in 2024, and the Company does not forecast any O&M for 2025 related to the project.

Q. What additional information did the Company provide regarding the project in response to DPS-596?

A. The Company indicated that the Gas_IT_Projects_GOSS and Gas Application and Hardware Upgrade project has a scope completion of 100 percent and that project funding estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requests $3

million in Rate Year 1, $1.400 million in Rate Year 2, and $0.7 million in Rate Year 3. For incremental O&M, the Company requests $0.355 million in Rate Year 1, $0.85 million in Rate Year 2, and $0.25 million in Rate Year 3. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $2.100 million and the incremental O&M to $0.249 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. On page 9 of Exhibit___(IT-6-Upd), Company states within the project work description that the project would "allow for reduced maintenance costs in future [y]ears via

reductions in specialized support resource requirements"; and also states that "newer products, like those incorporated in the project, have integrated regulatory compliance tools that remove the need for redundant systems." These elements fit squarely within the strategic category, and there is no evidence indicating that the benefits of these elements will outweigh the cost. Additionally, the White Paper states that the project seeks to fulfill anticipated but not yet certain regulatory requirements, rendering such project elements unnecessary at this time. For these reasons, a reduction in the project budget is warranted.

Q. Provide an overview of the Gas Applications project.

A. The project is within the Gas Operations organization, is currently in-progress, and is presented on pages 41 through 42 of Exhibit___(IT-4-Upd). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project.

For O&M, the Company states that the project expended $1.510 million in 2024 and the Company does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the Gas Applications project scope is “not applicable”, and that the project cost forecast does not contain a contingency amount. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What incremental O&M does the Company request for the project?

A. The Company requests $1.112 million in incremental O&M for Rate Year 1.

Q. Do you recommend an adjustment to the project?

A. Yes. I recommend reducing the Rate Year 1 incremental O&M to $0.778 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended amount by reducing the Rate Year 1 O&M incremental budget to 70 percent of the proposed amount.

Q. What is the rationale for the adjustment?

A. Elements of the project are unjustified. The project work description provides insufficient justification for a budget increase. On page 41 of Exhibit___(IT-4-Upd), the Company states in the project work description that the applicable software solution was implemented in November 2022, however the financial summary information provided on page 42 of Exhibit___(IT-4-Upd) does not provide any historical financial information. On page 41 of Exhibit___(IT-4-Upd), the Company states that the software solution implemented in 2022 has "allowed for the standardization of work processes, better work scheduling, work prioritization as well as provide a single repository for all work and asset data." Also, on page 41 of Exhibit___(IT-4-Upd), the Company states that "Remediating technical and functional defects to improve software efficiency and accuracy are also a significant aspect of the maintenance of the system". These improvements upon the existing system are strategic elements and have not been justified from a cost-benefit perspective. Therefore, a reduction in project budget is

warranted.

Information Technology

Q. Provide an overview of the IT System Testing COE project.

A. The project is within the Information Technology organization, is in-progress, the project is presented on pages 70 through 77 of Exhibit___(IT-6), and was listed as operationally required. However, in response to DPS-594 the Company indicates that it should be classified as regulatory mandated. For capital expenditures, Con Edison spent $2.431 million in 2024 and the Company forecasts $4.757 million in capital expenditures for the project in 2025. The Company states that there were $0.333 million in O&M costs for the project in 2024 and forecasts $0.3 million in O&M spending in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the IT System Testing COE has various levels of scope completion and that project cost estimates include 15 percent contingency. Additionally, the Company indicates that the project allows the Company to

realize $0.195 million in annual cost avoidance.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requests $20.264 million in Rate Year 1, $16.352 million in Rate Year 2, and $16.864 million in Rate Year 3. For incremental O&M, the Company requests $0.036 million in Rate Year 1, $0.406 million in Rate Year 2, and -$0.013 million in Rate Year 3. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $14.185 million and the incremental O&M to $0.036 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified

elements. On page 70 of Exhibit___(IT-6), the Company identifies a key objective of the project as “expansion and standardization” of testing tools processes, and governance across the OMS, Work Management System (WMS), and GIS systems. Given that my budget recommendations reduce the scale and speed of work to the OMS, WMS, and GIS systems, a commensurate reduction in this project budget is warranted. On page 70 of Exhibit___(IT-6), the Company also identifies that a key objective of the project is “enhanced automation and AI integration”. On page 71 of Exhibit___(IT-6), the Company identifies “continuous improvement” as a key objective. There is no evidence indicating that the benefits of these project elements will outweigh the costs. Additionally, the several elements within the "significant benefits" provided in the justification summary on page 72 are insubstantial, represent nebulous concepts or are otherwise unquantifiable, or are already incorporated within the Company's processes. Specifically, the Company already "fosters quality culture and awareness", hopefully

already "regularly publishes status reports" and provides "clear documentation" to their business analysts, and currently "develops test plans and strategies." Further, although the Company states on page 76 of Exhibit___(IT-6), that financial benefits "cannot be established at this time", the Company anticipates overhead reduction from AI automation and lower hardware and software supports costs. However, the response to DPS-596 indicate annual cost avoidance of $0.195 million. This amount is insubstantial in comparison to the project costs. For those reasons, the proposed budget is unjustified and should be reduced.

Q. Is it appropriate to designation the project as regulatory mandated?

A. No. Although the Company states in response to DPS-595 that the project is necessary to maintain compliance with PSC regulations, there is no evidence to suggest that the Company is currently non-compliant and requires the project to become compliant, nor any evidence that, but for the project, the Company will become non-compliant.

Q. Provide an overview of the Data Integration Modernization project.

A. The project is within the Information Technology organization, is currently in-progress, and is presented on pages 44 through 53 of Exhibit___(IT-9). For capital expenditures, the Company spent $1.578 million in 2022, $3.850 million in 2023, $1.844 million in 2024, and the Company forecasts $2.451 million in capital expenditures for the project in 2025. For O&M, the Company expended $1.725 million in 2023, $1.725 million in 2024, and the Company forecasts $1.725 million in O&M costs in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the project is comprised of components with various levels of scope completion and that project cost estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $4.500

million in Rate Year 1, $6.500 million in Rate Year 2, and $5.500 million in Rate Year 3. For incremental O&M, the Company requests $2.513 million in Rate Year 1, $0.028 million in Rate Year 2, and $0.011 million in Rate Year 3. For FTEs, the Company requests one FTE in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend any adjustments to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $2.823 million and the incremental O&M to $1.576 million.

Q. How did you determine the recommended budget?

A. My recommended capital budget was calculated using a three-year linear forecast; the proposed incremental O&M was reduced by the same percentage as capital expenditures.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. On page 44 of Exhibit___(IT-9), the Company states that recent accomplishments have "attracted the interest of new business sectors

and a desire to integrate new data sources and destination", and that the capital request "is for funding the hardware and software of the integration technology platform, procuring consulting and vendor services essential for the implementation and support of the environment, developing, and deploying projects tailored to meet selected business use cases, and formulating processes to operationalize the technology." The Company also states in project work description on page 44 of Exhibit___(IT-9) that "the project is set to persistently adopt cutting-edge integration technologies, tools, and infrastructure, thereby facilitating the handling of substantial data volumes." The Company states in the project work description on page 47 of Exhibit___(IT-9) that the project would "Implement automation strategies to streamline processes and improve efficiency", and states that "these automation practices will not only enhance the efficiency and reliability of the platform but also free up resources to focus on more strategic tasks." The Company also states in the project work description on

page 47 of Exhibit___(IT-9) that incorporating elasticity on the Data Distribution Hub platform would "not only ensure optimal resource utilization but also improve cost-efficiency". These project elements fit squarely within the strategic category, and there is no evidence that the benefits arising from the elements will outweigh the costs

Q. Are there any other elements you consider unnecessary for maintaining current operational standards?

A. Yes. The "Non-Financial Benefits" provided on page 51 of Exhibit___(IT-9) includes the sub-bullet "Cost avoidance", which states "avoiding high maintenance costs, user frustration, revenue loss, and missed business opportunities", and that "maintaining compliance with current regulations for older systems can be time-consuming and costly. As systems age, maintenance costs rise due to frequent fixes, updates, and the challenge of funding compatible parts or software." These elements also fit within the strategic category, and similarly, there is no evidence that the benefits arising

from the elements will outweigh the costs. Despite the previously discussed avoided costs identified by the White Paper, in response to DPS-596 the Company indicates that the project will not result in cost avoidance. For these reasons, a reduction in project budget is warranted. As the Company states in response to DPS-596 that the project contains various levels of scope, the Company can reduce the project scope to fit within my proposed budget.

Q. Provide an overview of the Fleet Management program.

A. The program is within the Information Technology organization, is categorized as operationally required, is currently on-going, and is presented on pages 81 through 85 of Exhibit___(IT-7). The Company states that there were no capital or O&M costs for the project in the years 2020 through 2024 and the Company does not forecast any in 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the program has a scope completion of 25 percent, and its cost

estimates include 30 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. Is it accurate to classify the project as on-going?

A. No. As the Company indicates there was no historical spending on the project, it is more accurately classified as being in the planning or initiation phase.

Q. What capital funding and incremental O&M does the Company request for the program?

A. For capital funding, the Company requests $2.093 million in Rate Year 1, $3.302 million in Rate Year 2, and $0.15 million in Rate Year 3. For incremental O&M, the Company requests $0.015 million in Rate Year 1, $0.11 million in Rate Year 2. This request is presented in Exhibit___(IT-1-Upd) and Exhibit___(IT-2-Upd).

Q. Do you recommend an adjustment for the program?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.465 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by

reducing the Rate Year 1 capital budget proposed by the Company by 70 percent.

Q. What is the rationale for the adjustment?

A. The project contains elements that are insufficiently justified. The Company proposes enhancements, stating on page 82 of Exhibit___(IT-7) that "a modernized platform will streamline fleet operations by enabling real-time data access, improving workflows, and reducing reliance on manual processes." On page 82 of Exhibit___(IT-7), the Company also states that the project would "enhance existing interfaces to the cloud", "enhance reporting and notification capabilities", and "configure dashboards according to user roles." These enhancements are not necessary to maintain current operational standards and there is no evidence indicating that the benefits arising from the elements will outweigh the costs. On page 83 of Exhibit___(IT-7), the Company provides the alternative as "continue use of outdated technology", which was not selected as it would "lead to higher maintenance costs." However, in response to DPS-596, the Company

states that the project will not result in cost avoidance. While the existing technology may result in higher maintenance costs, in the aggregate, the project increases costs. For these reasons, a reduction in budget is warranted. As the Company notes in response to DPS-596, project scope is 25 percent completed, meaning the Company can reduce the scope as necessary to fit within the recommended budget.

Q. Provide an overview of the Employee Hub System Improvements project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 215 through 220 of Exhibit___(IT-7). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. The Company states that there were no O&M costs in the years 2020 through 2024, and the Company does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Employee Hub System Improvements has various levels of scope completion and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. Is it accurate to classify the project as on-going?

A. No. As the Company indicates there was no historical spending on the project, it is more accurately classified as being in the planning or initiation phase.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requested $6 million in Rate Year 1, $8 million in Rate Year 2, and $6.700 million in Rate Year 3. For incremental O&M, the Company requests $0.243 million in Rate Year 1, $0.253 million in Rate Year 2. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.200 million and the incremental O&M to $0.17 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. On page 216 of Exhibit___(IT-7), the Company states that "current external access to ORACLE HCM Cloud is overly complicated", and the project seeks to develop a custom portal or implement an off-the-shelf solution. On page 215 of Exhibit___(IT-7), the Company states in the project work description that the project "provides enhancements and improvements to processes and reporting". However, in response to DPS-958, the Company confirms the adequacy of current reporting processes, and that system operation currently are adequate. The Company also provided the access process in DPS-958. It

appears that the Company is currently managing the "overly complicated" access process successfully. For these reasons, a reduction in project budget is warranted. Additionally, in response to DPS-596, the Company states that the project has various levels of completion, so the Company can refine the project to fit within the recommended budget.

Q. Provide an overview of the AMI Systems Sustainability program.

A. The program is within the Information Technology organization, is currently on-going, and is presented on pages 1 through 8 of Exhibit___(IT-6-Upd). For capital expenditures, the Company spent $5.979 million in 2024 and the Company forecasts $12.719 million in capital expenditures for the project in 2025. For O&M, the Company states that it expended $25.516 million in 2024 and forecasts $30 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the AMI Systems Sustainability Program project is comprised of

components with various levels of scope completion and that project estimates include 15 percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $21.941 million in Rate Year 1, $10.864 million in Rate Year 2, and $6.078 million in Rate Year 3. For incremental O&M, the Company requests $5.137 million in Rate Year 1, and $0.855 million in Rate Year 3. For FTEs, the Company requests 10 in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd) and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $10.970 million and the incremental O&M to $2.569.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed

by the Company by 50 percent; the proposed incremental O&M was reduced by the same percentage applied to capital expenditures.

Q. What is the rationale for the adjustment?

A. The project contains elements that are insufficiently justified. On page 3 of Exhibit___(IT-6-Upd), the Company describes the project investments as "strategic enhancements and upgrades." The Company also proposes the AMI Steady State program to fund the on-going needs associated with maintaining AMI systems. On pages 6 and 7 of Exhibit___(IT-6-Upd), the Company states in the risk of no action section that not upgrading could—not would—result impede the organization's progress; and that if the systems become outdated, they would be "potential roadblocks". The risk of no action section also states that, without a data lake, business users' decisions will rely on incomplete or inconsistent data--however, the Company is currently capable of utilizing the data; and without the data lake, it will be "challenging" to scale data storage--but not impossible.

Q. Do you have any other reasons?
A. I disagree with the validity of the stated risk arising from "not enhancing applications", which provides "not enhancing the application leads to inefficient documentation, poor data quality, and inefficient meter installation processes". While it may be true that enhancing the application would result in enhanced documentation, improved data quality, and more-efficient meter installation processes, there is no evidence to suggest that not upgrading will cause any quality degradation. For those reasons, a reduction in budget is warranted. Our proposed budget, a 50 percent reduction, remains nearly double the Company's 2024 capital spend, and enables the Company to continue progress towards current goals.
Q. Does the adjustment include an adjustment to FTEs?
A. Yes. The adjustment includes the denial of four FTEs commensurate with the reduction of project scope.
Q. Provide an overview of the XM10 Tier 1_2 Computer Equipment Critical Infrastructure

project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 61 through 70 of Exhibit___(IT-8). For capital expenditures the Company spent $12.335 million in 2020, $13.704 million in 2021, $8.259 million in 2022, $23.950 million in 2023, $16.843 million in 2024, and the Company forecasts $20.730 million in capital expenditures for the project in 2025. The Company states there was no O&M spending for the project in this period.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the XM10 Tier 1_2 Computer Equipment Critical Infrastructure project has a scope completion of 100 percent and that project estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests

$32.477 million in Rate Year 1, $28.581 million in Rate Year 2, and $28.929 million in Rate Year 3. For incremental O&M, the Company requests $0.325 million in Rate Year 1, and $0.195 million in Rate Year 2. For FTEs, the Company requests 15 in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $22.723 million.

Q. How did you determine the recommended capital budget?

A. My recommended capital budget was calculated using a five-year linear forecast.

Q. What is the rationale for the adjustment?

A. Based on the historical data provided by the Company on page 70 of Exhibit___(IT-8), since 2020 the Company expended on average $16.5 million in capital dollars on the program, adjusted for inflation, as calculated and presented in Exhibit___(SITP-3). The Company proposes a capital budget of $32.477 million, over double the amount. On page 61 of

Exhibit___(IT-8), the Company states that the Company's estimates include consideration of data center expansion and updates, and my recommended budget includes reductions to data center budgets and the denial of other initiatives that would otherwise result in increased data growth; therefore, a reduction to the budget is warranted. Similarly, the reduction in full time employees recommended by Staff, and addressed in the testimony of the Staff Accounting Panel, results in reduced need for desktops, tablets, laptops, field devices, and printers.

Q. Please elaborate on the need for devices and software updates.

A. The Company states on page 65 of Exhibit___(IT-8), in the project work description, that the project includes "supplying our team with approximately 10,000 new and more modern devices is key to facilitating seamless communication" but does not elaborate as why 10,000 is needed. On page 63 of Exhibit___(IT-8), the budget provided for "Device and Software Upgrades" nearly doubles from $6,612 million to $11,757

million from 2025 and 2026; through 2029, it leads “Infrastructure”, “Network and Data Center Enhancements”, “Backup and Disaster Recovery” and “Virtualization and Automation”. In the “Devices and Software Upgrades” subsection in the work description, on page 62 of Exhibit___(IT-8), the Company describes the work as ”An annual refresh of devices including the desktop, laptop, tablet, printer, plotter and field devices inventory”; the work being “regularly update and replace devices”, and the benefits as “ensures up-to-date technology and reduces downtime.” While this equipment might be utilized to access operationally required systems, or may otherwise interface with operationally required systems, this equipment cannot reasonably be interpreted as operationally required in an equivalent manner to, for example, server or firewall equipment.

Q. Does the Capital Project Playbook provide any guidance related to such equipment?

A. Yes. As previously discussed, the playbook provides the “Support (XM’s only)” category for strategic projects, which provides “Computers,

Vehicles, telecommunication equipment, furniture and shop & lab equipment that is not considered "operationally required", however the product has reached the point in its lifecycle where the cost of maintenance makes it cost effective to replace". This project element can therefore be more reasonably understood as a strategic investment and there is no evidence to suggest that the benefits arising from the elements will outweigh the costs. For those reasons, a reduction in project budget is warranted and I recommend a budget that reflects a linear forecast projected from the 2020 through 2024 historical capital expenditures. This will enable the Company to continue existing efforts and processes.

Q. Provide an overview of the CCTN Program project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 1 through 8 of Exhibit___(IT-8). For capital expenditures Con Edison spent $10.654 million in 2020, $7.256 million in 2021, $8.280 million in 2022, $12.723 million in 2023, $10.453 million in 2024, and the Company

forecasts $11.400 million in capital expenditures for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the CCTN program has a scope completion of 100 percent and that project estimates include 10 percent contingency. Additionally, the Company indicates that the program will not result in cost avoidance.

Q. What capital funding does the Company request for the program?

A. For capital funding, the Company requests $20 million in Rate Year 1, $20 million in Rate Year 2, and $20 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the program budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $11.899 million.

Q. How did you determine the recommended budget?

A. My recommended capital budget was calculated using a five-year linear forecast.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. According to the historical spending information provided on page 8 of Exhibit___(IT-8), the Company invested approximately $49 million in capital dollars on the CCTN program between 2020 and 2024, or $10.938 million a year on average, when adjusted for inflation. In comparison, the Company's Rate Year 1 budget request for the program nearly doubles to $20 million. My recommended budget includes various reductions to Information Technology projects and programs, and the Company indicates on page 3 of Exhibit___(IT-8) that "the upgraded infrastructure will also facilitate the deployment of new services and applications that demand higher band-with"; as such, it can be reasonably interpreted that certain elements of the program would be rendered unnecessary under my recommended budget.

Q. Are there any other project elements that are not required at this time?

A. Yes. The Company also indicates on page 3 of Exhibit___(IT-8) that while difficult, the existing SONET is still operational and

serviceable despite “waning” vendor support. The Company states on page 3 of Exhibit___(IT-8) that the Company's existing Dense wavelength-division multiplexing (DWDM) infrastructure is nearing end of life but is still serviceable and operational. In response to DPS-971, the Company indicates that "the CCTN network is not failing to meet critical and high-capacity service needs". As such, the project contains strategic elements, and there is no evidence suggesting that the benefits arising from such elements will outweigh the costs. For those reasons, a reduction to the capital budget is warranted; and my recommended budget, based on a linear forecast of historical spending, is sufficient to enable the continuation of current practices.

Q. Provide an overview of the XM 8 Telecommunications Equipment Priority 1 project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 53 through 60 of Exhibit___(IT-8). For capital expenditures the Company spent $2.354 million in 2020, $2.426

million in 2021, $2.054 million in 2022, $3.371 million in 2023, $4.155 million in 2024, and the Company forecasts $4.049 million in capital expenditures for the project in 2025. There was no O&M spending in 2024.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the XM 8 Telecommunications Equipment Priority 1 project has a scope completion of 100 percent and that project estimates include 15 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and FTEs did the Company request for the project?

A. For capital funding, the Company requested $4.980 million in Rate Year 1, $6.425 million in Rate Year 2, and $6.915 million in Rate Year 3. For FTEs, the Company requests one FTE in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend a modification to the project

budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.691 million.

Q. How did you determine the recommended capital budget?

A. My recommended capital budget was calculated using a five-year linear forecast.

Q. What is the rationale for the adjustment?

A. The program contains insufficiently justified elements. On page 54 of Exhibit___(IT-8) the Company states that the project includes "Upgrading Conference Room Audio/Video equipment. On page 53 of Exhibit___(IT-8), the Company states that the project work description includes "enhanced employee training programs", an explicitly strategic element. Additionally, on page 55 of Exhibit___(IT-8), the Company states that the "Enabling Customized End-User Telecom" work category provides the that the current state is "leading to inefficiencies", the solution is "implementing customized telecom solutions", and the expected benefits are "increased efficiency, better user satisfaction, and optimized communication solution"; this

project element fits squarely within the strategic category. Additionally, while page 67 of Exhibit___(IT-8) provides that the project would result in "cost avoidance to maintain legacy equipment and subscriber devices due to lack of expertise", the response to DPS-596 indicates that no cost avoidance will result from the program. For these reasons, a reduction in budget is warranted. As the program White Paper provides a prioritized list of activities, the Company has already established a framework for prioritizing the project elements necessary to maintain current operational conditions. My budget recommendation, based on a linear forecast of historical spending, enables the Company to continue existing efforts.

Q. Provide an overview of the Data Center and LAN Infrastructure Improvements project.

A. The project is within the Information Technology organization, currently on-going and is presented on pages 9 through 13 of Exhibit___(IT-8). For capital expenditures, the Company spent $1.844 million in 2020, $2.208

million in 2021, $1.712 million in 2022, $4.498 million in 2023, $5.791 million in 2024, and the Company forecasts $6 million in capital expenditures for the project in 2025. There was no O&M spending in 2024.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Data Center and LAN Infrastructure Improvements project has a scope completion of 100 percent and that project estimates include 15 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and FTEs does the Company request for the project?

A. For capital funding, the Company requests $4.770 million in Rate Year 1, $13.150 million in Rate Year 2, and $15.950 million in Rate Year 3. For FTEs, the Company requests three in Rate Year 1.

Q. Do you recommend a modification to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $3.339 million.

Q. How did you determine the recommended capital

budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. The Company states on page 11 of Exhibit___(IT-8) that the "main goal" of the program is to "sustain the availability and reliability of the data center infrastructure through enhancing, upgrading, and new construction of… Infrastructure and environmental monitoring tools that enable quick assessment and resolution of unplanned events that can adversely affect IT system availability and help automate complex decision making for power and cooling capacity planning and outage mitigation." This project element is unnecessary to maintain current operational standards and therefore a strategic element; there is no evidence to suggest that the benefits arising from the project element will outweigh the costs. Additionally, on page 9 of Exhibit___(IT-8), the Company indicates that the

data centers house critical systems and applications, including those related to State Control and Data Acquisition (SCADA) System, control centers, AMI, and the outage map. As my budget recommendation includes reductions to the capital budgets for the Control Center Resiliency Phase 2, the AMI sustainability project, and the denial of the Transforming Outage management with Advanced AMI integrations, the necessity of certain project elements is reduced. Further, the Company assigns relative priority to the activities proposed by the project, the Company should align its scope of work with the proposed budget.

Q. Provide an overview of the Technology Modernization Program - Applications and Infrastructure project.

A. The project is within the Information Technology organization and is currently on-going. For the purposes of this discussion, the stated capital and O&M values represent the combined capital and O&M associated with two interrelated White Papers, "Infrastructure Technology

Modernization" and "CECONY Technology Modernization - Applications". As the capital costs associated with these projects are combined within the Exhibit___(IT-1) line "Technology Modernization Program - Applications and Infrastructure", consolidating the two projects within a single line item is reasonable. The "Infrastructure Technology Modernization" program is presented on pages 43 through 48 of Exhibit___(IT-8) and the "CECONY Technology Modernization – Applications" program immediately follow on pages 49 through 52 of Exhibit___(IT-8). For capital expenditures, the project had $19.765 million in 2023, $22.199 million in 2024, and the Company forecasts $21.621 million in capital expenditures for the project in 2025. The Company states there was no O&M associated with the project in 2020 through 2024 and forecasts no O&M in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Technology Modernization Program - Applications and Infrastructure has various levels of scope

completion and that project cost estimates include a 20 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $2.0 million annually.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding the Company requests $44.599 million in Rate Year 1, $34.941 million in Rate Year 2, and $34.790 million in Rate Year 3. For incremental O&M the Company requests $13.573 million in Rate Year 1, $3.019 million in Rate Year 2, and $0.75 million in Rate Year 3. For FTEs, the Company requests 21 in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Yes. I recommend reducing the Rate Year 1 capital budget to $22.408 million and the incremental O&M to $6.820 million.

A. How did you determine the recommended budget?

Q. The proposed capital budget was calculated by inflating the average of historical spending to 2026 dollars; the O&M was reduced by the same

percentage as the capital expenditures.

A. What is the rationale for the adjustment?

Q. These projects contain insufficiently justified project elements. For the "CECONY Technology Modernization - Applications" project, the Company states on page 49 of Exhibit___(IT-8), within the work description, that the latest technology currency assessments indicated that "approximately 35 percent of the applications are categorized with end-of-life technology and will require upgrades", and that the assessment "included security hardening for about 90 critical applications." The "Key Benefits" provided on page 50 of Exhibit___(IT-8) for the project included "Enhanced Cyber Security", "Improved Application Efficiency", "Reduced Maintenance Costs", and "Code Security Hardening"--which all fit squarely within the strategic work category. There is no evidence indicating that the benefits arising from these project elements will outweigh the costs.

Q. Does the "Infrastructure Technology Modernization" project also contain insufficiently justified project elements?

A. Yes. The Company states in the project work description on page 43 of Exhibit___(IT-8), that the project ensures that “that Con Edison remains on the forefront of technological advancements, thereby improving operational efficiency, reducing costs, and enhancing service reliability". Further, the Company also states on page 43 of Exhibit___(IT-8) that "as part of this program, IT has included for efforts to increase automation, such as through the implementation of tools based on artificial intelligence", and these efforts would "optimize and enhance IT operations, enabling quicker response to operational events." Additionally, the project work description also states on page 43 of Exhibit___(IT-8) that the project would "optimize operational efficiency through automation, lowering manual intervention needs and operational costs. These efficiencies allow for cost savings that can be reinvested to further infrastructure improvements." The Company also states, on pages 43 and 44 of Exhibit___(IT-8), that the project includes investments in the "Modern Workspace

Experience", with the team mission to "redefine the experience of using technology in the workplace, setting a new standard in ease, efficiency, and user-friendliness. These elements similarly fit within the strategic project category, and there is no evidence to suggest that the benefits arising from the elements will outweigh the costs. Therefore, a reduction in project budget is warranted.

Q. Do you have any other concerns with the project?

A. Yes. While in response to DPS-596 the Company indicates that the project will result in $2.0 million in avoided costs, this amount is insignificant in relation to the investment to-date and the investment proposed by Company. For those reasons, a reduction in budget is justified. Additionally, the Company notes that the project contains various levels of scope completion, so the Company can reduce the project scope to fit within my recommended budget.

Q. Does the recommended adjustment include an adjustment to FTEs?

A. Yes, my recommended adjustment includes the

denial of three FTEs, commensurate with the reduction in project scope.

Q. Provide an overview of the IT Telecom O&M project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 1 through 5 of Exhibit___(IT-4-Upd). The Company states that the project expended $12.267 million in 2020, $13.195 million in 2021, $14.065 million in 2022, $16.977 million in 2023, $16.838 million in 2024 in O&M funds, and the Company forecasts $15.300 million in O&M cost for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the IT Telecom O&M project does not contain contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What incremental O&M and FTEs does the Company request for the project?

A. The Company requests incremental O&M of $3.874 million in Rate Year 1, $0.374 million in Rate Year 2, and $0.012 million in Rate Year 3. For

FTEs, the Company requests seven in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 incremental O&M to $2.712 million.

Q. How did you determine the recommended budget?

A. I calculated the recommended O&M by reducing the Rate Year 1 incremental O&M proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. On page 1 of Exhibit___(IT-4-Upd), the Company states within the project work description that the Company is making strategic investments in technology to ensure the smooth operation of its network infrastructure. The Company also states, within the project work description on page 1 of Exhibit___(IT-4-Upd), that "Major Capital programs, projects, and initiatives such as Corporate Communication Transmission Network (CCTN), Corporate Data center Improvements, and XM8 critical radio systems are implemented under

these capital programs." As my budget recommendations include reductions to the CCTN, Data Center and LAN Upgrades and Improvements, and XM8 budget, a commensurate reduction to the IT Telecom O&M budget is reasonable. Additionally, in the "Risk of No Action" section on page 3 of Exhibit___(IT-4-Upd), the Company states that "if these essential support services are interrupted, the systems will slowly degrade"; however, there is no evidence to indicate that an incremental increase in funding is necessary to prevent system degradation, nor is there any analysis quantifying the rate of degradation that would occur.

Q. Does the project description indicate that it contains any elements more reasonably understood as strategic?

A. Yes. On page 1 of Exhibit___(IT-4-Upd), the project work description states “It’s also crucial to keep abreast of technological advancements, as newer, more efficient solutions could potentially offer cost savings in the long run.” This closely matches “Efficiency & Process Improvements” strategic program type

description, "projects/programs that will result in more efficiency and/or cost reduction." There is no evidence indicating that the benefits of these elements will outweigh the costs. For these reasons, a reduction in budget is warranted.

Q. Provide an overview of the Enterprise Geographic Information System (eGIS) Support project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 11 through 15 of Exhibit___(IT-4-Upd). The Company states that it expended $0.921 million in 2024 related to O&M, and the Company forecasts $3.556 million in O&M costs for the project in 2025. There was no capital spending in 2024.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Enterprise Geographic Information System (eGIS) Support project estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What incremental O&M does the Company request for the project?

A. For incremental O&M funding, the Company requests $5.006 million in Rate Year 1.

Q. Do you recommend adjusting the project budget?

A. Yes. I recommend reducing the Rate Year 1 incremental O&M to $1.669 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended amount by adjusting the proposed O&M by the same percentage applied to the capital expenditures under the eGIS Phase 3 project. The adjustment to the eGIS Phase 3 project will be discussed alongside the other strategic projects adjustments.

Q. What is the rationale for the adjustment?

A. As I recommend the reduction of Rate Year 1 budget to the eGIS Phase 3 project, a commensurate reduction to supporting O&M is warranted. On page 12 of Exhibit___(IT-4-Upd), Company states that "The Company has already begun to use eGIS to develop up-to-date models of its systems", and that "Con Edison is already achieving the benefits from the eGIS platform". On page 13 of Exhibit___(IT-4-Upd), the White

Paper states that "The new mapping and visualization tools have already improved key processes and work activities in IT and the business units through greater operational efficiency, improved data accuracy, and improved data sharing." As the Company is already purportedly deriving value from the system, and my recommended budget includes a reduction to eGIS phase 3 spending, a reduction in budget is warranted. The Company should focus efforts on implementing Phase 3 and integrating the eGIS throughout its current and new system.

Q. Provide an overview of the IT Hardware and Software Maintenance project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 47 through 53 of Exhibit___(IT-4-Upd). The Company states that the project expended O&M funding of $19.207 million in 2020, $20.200 million in 2021, $21.051 million in 2022, $36.962 million in 2023, $35.700 million in 2024, and the Company forecasts $69.203 million in O&M costs for the project in 2025. There was no capital cost in

2024.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the IT Hardware and Software Maintenance project estimates include five percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. What incremental O&M and FTEs did the Company request for the project?

A. For incremental O&M, the Company requests $30.189 million in Rate Year 1, $15.617 million in Rate Year 2, and $2.790 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 incremental O&M to $21.132 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended incremental O&M by

reducing the Rate Year 1 incremental O&M proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. On page 47 of Exhibit___(IT-4-Upd), the Company states "Con Edison is also experienced organic growth across key infrastructure systems and data platforms, attributed to increasing demand for modernized systems and enhanced security requirements. The plan includes investments in our company datacenter IT management tools and maintenance programs while expanding automation capabilities tied to server and end use systems." On page 52 of Exhibit___(IT-4-Upd), the Company provides the basis for the budget estimation as "The basis for the estimate consists of current spend with anticipated growth for major enterprise initiatives." Given that the Company's estimates for the program are based on major enterprise initiatives that I recommend adjusting, a reduction of incremental funding is warranted. The increase proposed by the Company would double total program budget in Rate Year 1. As the program is the single

largest contributor to O&M in the IT portfolio, controlling cost escalation is paramount to ensuring future affordability. Additionally, as previously discussed, the historic spend period already includes major enterprise projects, including the eGIS and Customer Billing System upgrades. For those reasons, a reduction in budget is warranted.

Q. Provide an overview of the ServiceNow Platform Expansion project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 1 through 6 of Exhibit___(IT-8-Upd). There is no historical spending data or any forecasted 2025 expenditures associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the ServiceNow Platform Expansion project has a scope completion of 75 percent and that project estimates include five percent contingency. Additionally, the Company indicates that the project will result in "some reduction" through

cost avoidance but does not articulate an amount.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $1.741 million in Rate Year 1, $7.249 million in Rate Year 2, and $5.843 million in Rate Year 3. For incremental O&M the Company requests $0.45 million in Rate Year 1, $0.702 million in Rate Year 2, and $0.552 million in Rate Year 3. For FTEs, the Company requests five FTEs in Rate Year 1. This request is presented in Exhibit___(IT-1-Upd), Exhibit___(IT-2-Upd), and Exhibit___(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.219 million and the incremental O&M to $0.338 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company by 70 percent. For O&M, we targeted a reduction commensurate with the

reduction in capital costs but modified the adjustment to 75 percent of the proposed incremental O&M, which represents the denial of two FTEs.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary to maintain continued operational standards. The Company states, within the Justification Summary, on page 2 through page 3 Exhibit___(IT-8-Upd), that the project will "reduce the complexity and cost of integration development and maintenance"; it also states that "streamlining operations and reducing redundancies will lead to significant cost savings." The "major financial benefits" provided on page 5 of Exhibit___(IT-8-Upd) are “reductions in resources” associated with manual processes. These elements fit squarely within the strategic work category, and there is no evidence indicating that the benefits arising from these elements will outweigh the costs. Additionally, as indicated in response to DPS-596, the Company cannot currently provide the avoided costs that would arise from the project.

Further, on pages 3 and 4 of Exhibit___(IT-8-Upd), the Company identifies various alternatives to the elements of the project, including continuing existing practices and existing processes as-is. For these reasons, a reduction in project budget is warranted.

Q. Do the recommended adjustment include an adjustment to FTEs?

A. Yes, the adjustment includes the denial of two FTEs, commensurate with the reduction in project scope.

Q. Provide an overview of the Integrated Workplace Management System Replacement project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 106 through 112 of Exhibit___(IT-7). There is no historical spending data, or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Integrated Workplace Management System Replacement project has a scope completion of 25 percent and that

project estimates include 30 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding did the Company request for the project?

A. For capital funding, the Company requests $2.016 million in Rate Year 1, $5.662 million in Rate Year 2, and $5.806 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.411 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company by 70 percent.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary to maintain current operational standards. On page 110 of Exhibit___(IT-7), the Company provides an alternative to the project to "continue with MRI

IWMS; do not implement Sustainability Module". While the Company states on page 110 of Exhibit___(IT-7) that the existing application is not "integrating fully with Con Edison's enterprise-wide asset management platform", and that current tracking is "labor intensive", the Company identified in DPS-596 that the project would not result in cost avoidance--meaning that the automation at best trades one cost for another. The Company also states on page 110 of Exhibit___(IT-7) that the support from the current vendor "has been lacking at times", meaning that the Company has other avenues for meeting the underlying requirements articulated by the project; for example, resolving the lack of support. These project elements are insufficiently justified and there is no evidence indicating that the benefits arising from these elements will outweigh the cost. Additionally, the Company states in response to DPS-596 that the scope completion of the project is 25 percent, which indicates the Company has the opportunity to refine the project scope to fit within the recommended budget.

Q. Provide an overview of the Learn, Talent Management & Compensation Replacement Project.
A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 17 through 25 of Exhibit___(IT-7-Upd). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company forecasts $4.500 million in capital expenditures for the project in 2025.
Q. What information did the Company provide regarding the project in response to DPS-596?
A. The Company indicates that the Learn, Talent Management & Compensation Replacement project has a scope completion of 25 percent and that project cost estimates include 30 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.
Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?
A. For capital funding, the Company requests $23.661 million in Rate Year 1 and $7.767 million in Rate Year 2. For incremental O&M,

the Company requests $0.297 million in Rate Year 1, $0.243 million in Rate Year 2, and $0.381 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

Q. Yes. I recommend reducing the Rate Year 1 capital budget to $16.563 million.

A. How did you determine the recommended capital budget?

Q. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the capital budget proposed by the Company.

A. What is the rationale for the adjustment?

Q. The project contains elements unnecessary to maintain current operational standards; specifically, introducing artificial intelligence into the performance management process. The Company states, on page 17 of Exhibit___(IT-7-Upd) that "System consolidation will make the support more efficient and

effective and lessen the need for complex data integrations between systems", and the White Paper identifies "highly manual business process" as a risk of no action. These represent strategic project elements. Additionally, the playbook explicitly provides the strategic project type “Employee Development,” which includes “Training, developmental, diversity and retention projects/programs”. The Company states in the alternatives section on page 21 of Exhibit___(IT-7-Upd) that existing platforms "require significant maintenance to remain in service." Despite these statements, the Company's response to DPS-596 indicates that no avoided costs. Additionally, in response to DPS-596 the Company states that the project scope completion is 25 percent and project cost estimates include 30 percent contingency, which indicates that the Company can refine the project scope to fit within my recommended budget. As such, a reduction to in the project budget is warranted.

Q. Provide an overview of the Work Management

Mobility project.

Q. The project is within the Information Technology organization, is currently in planning, and is presented on pages 246 through 250 of Exhibit___(IT-7). There is no historical spending data or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

Q. The Company indicates that the Work Management Mobility has various levels of scope completion and that project cost estimates include 10 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $0.25 million annually.

A. What capital funding and incremental O&M did the Company request for the project?

Q. For capital funding, the Company requests $5 million in Rate Year 1, $5 million in Rate Year 2, and $5 million in Rate Year 3. For incremental O&M, the Company requests $0.376 million in Rate Year 1.

A. Yes. I recommend reducing the Rate Year 1 capital budget to $3.500 million and the

incremental O&M to $0.263 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary for maintaining current operational standards. The Company states, in the project work description on page 246 of Exhibit___(IT-7) that the project will "enhance the features and capabilities that were developed by the Digital Factory", and the scope includes "improving user experience"; these represent strategic elements. The Company also provides the alternative on page 249 of Exhibit___(IT-7), of "leave the current processes and applications the way they are". Therefore, a reduction in budget is warranted. As the Company states in response to DPS-596 that the project contains various levels of work completion, the Company can reduce the project

scope to fit within the recommended budget.

Q. Provide an overview of the Integration Technical Obsolescence project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 89 through 96 of Exhibit___(IT-9). There is no historical spending data, or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Integration Technical Obsolescence project has a scope completion of 25 percent and that project cost estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $33.400 million in Rate Year 1, $33.400 million in Rate Year 2, and $33.400 million in Rate Year 3. For incremental O&M, the Company requests $3.030 million in Rate Year 1, $4.042 million in

Rate Year 2, and $6.037 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

Q. Yes. I recommend reducing the Rate Year 1 capital budget to $23.380 million and reducing the incremental O&M to $2.121 million.

A. How did you determine the recommended budget?

Q. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

A. What is the rationale for the adjustment?

Q. The project contains elements unnecessary for maintaining current operational standards. In response to DPS-945 the Company states that "our BizTalk middleware effectively manages existing operational loads", and the Company provides the maximum throughput of 5,000 concurrent transactions per second and provides that they

experienced a peak load of 4,288 concurrent load per second. Taken together, the system does require additional capacity to remain functional. The Company states, in the work description on page 90 of Exhibit___(IT-9) of the White Paper that BizTalk product supports ends in 2030, and that the project "aims to conduct thorough due diligence in selecting a future-proof integration platform". However, there is no evidence to indicate why such an extensive due diligence review is necessary. For these reasons, a reduction in budget is warranted. Additionally, the Company states in response to DPS-596 that the scope completion is 25 percent, so the Company can reduce the project scope to fit within the recommended budget.

Q. Provide an overview of the Control Center Resiliency Phase 2 project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 22 through 26 of Exhibit___(IT-6). There is no historical spending data or any forecasted 2025 costs

associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

Q. The Company indicates that the Control Center Resiliency Phase 2 project is comprised of components with various levels of scope completion and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

A. What capital funding and incremental O&M does the Company request for the project?

Q. For capital funding, the Company requests $6.290 million in Rate Year 1, $4.420 million in Rate Year 2, and $5.750 million in Rate Year 3. For incremental O&M, the Company requests $3.100 million in Rate Year 1, $3.370 million in Rate Year 2, and -$2.500 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.403 million and the

incremental O&M to $2.170 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary for maintaining current operational standards. The Company states, in the project work description on page 22 of Exhibit___(IT-6), that the project "focuses on ensuring the continuous update and modernization of IT and OT systems, prioritizing operational readiness, resiliency, redundancy, and compliance with changing standards." The scope of work provided on page 22 of Exhibit___(IT-6) includes procuring and implementing an Asset Management System and continuing "to improve and upgrade current network infrastructure" in data center environments. The Company states on page 23 of Exhibit___(IT-6) that the project also includes

"strategic initiatives", including "Comprehensive Risk Assessments", investments in "advanced security technologies" that "enhance threat detection capabilities." These elements fit squarely within the strategic category. For these reasons, a reduction to project budget is warranted. Additionally, the Company states in response to DPS-596 that the project contains various levels of scope completion, so the Company can reduce the project scope to fit within my recommended budget.

Regulatory Mandated Projects/Programs

Customer Operations

Q. Provide an overview of the Customer Data Sharing project.

A. The project is within the Customer Operations organization, currently on-going, and is presented on pages 93 through 98 of Exhibit___(IT-5). For capital expenditures, Con Edison spent $0.687 million in 2023, $1.322 million in 2024, and the Company forecasts $0.8 million in capital expenditures in 2025. For O&M, the Company states that it expended $0.513 million in 2023, $0.958 million in 2024, and the

Company forecasts $1.100 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Customer Data Sharing project has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the project will result in $1.4 million in avoided costs annually.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding the Company requests $2.500 million in Rate Year 1, $2.500 million in Rate Year 2, and $2.500 million in Rate Year 3. For incremental O&M the Company requests $0.626 million in Rate Year 1, $0.042 million in Rate Year 2, and $0.043 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.750 million and the incremental O&M to $0.438 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified project elements. Although there is no discussion or identification of avoided costs in the White Paper, in response to DPS-596 the Company estimates the project would result in $1.4 million in avoided costs annually. On page 94 of Exhibit___(IT-5), the Company states that the scope of work includes "Advanced Reporting and Dashboard Features", "Improved Batch Processing and API Capabilities", "Authorization and Authentication Enhancements", and "optimized Data Handling and Queries." These elements are unnecessary for maintaining current operational standards and are insufficiently justified as

there is no evidence to indicate that the benefits arising from these elements will outweigh the costs. Additionally, on page 95 of Exhibit___(IT-5), the Company states that the project scope includes "augmenting technical resources to facilitate onboarding and offer timely resolution of technical issues", however, there is no evidence to indicate the insufficiency of current onboarding or technical issue resolution processes. Although the White Paper cites the Integrated Energy Data Resource order on page 94 of Exhibit___(IT-5) in support of its continued development of "currently planned enhancements and additions", there is no evidence to suggest that the Company was planning the enhancements and additions proposed by the project in February 2021. As the Company indicates the project uses the AGILE framework, the Company can reduce the project scope to fit in the recommended budget.

Q. Provide an overview of the Community Distributed Generation Platform project.

A. The project is within the Customer Operations organization, is currently on-going, and is

presented on pages 41 through 53 of Exhibit___(IT-5). For capital expenditures the Company spent $4.534 million in 2024 and the Company forecasts $4.500 million in capital expenditures for the project in 2025. The Company states that there were no O&M costs for the project in the years 2020 through 2024 and the Company forecasts $6.490 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Community Distributed Generation Platform project is comprised of components with various levels of scope completion and that project cost estimates include 30 percent contingency. Additionally, the Company estimates a total cost avoidance of $20.5 million in 2026 through 2028.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $9.090 million in Rate Year 1, $9.910 million in Rate Year 2, and $10.690 million in Rate Year 3. For incremental O&M, the Company requests $8.054

million in Rate Year 1, $0.845 million in Rate Year 2, and $0.51 million in Rate Year 3. For FTEs, the Company requests 18 in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.922 million and the incremental O&M to $4.361 million.

Q. How did you determine the recommended budget?

A. The recommended capital budget was calculated by inflating the historic 2024 spending to 2026 dollars; the proposed incremental O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. The project contains several elements unnecessary to maintain compliance with current regulations; these elements are insufficiently justified. The Company states, on page 42 of Exhibit___(IT-5) of the White Paper, that the project is "focused on ongoing enhancements"

that "improve customer self-service and operational efficiency". The Company also states on page 42 of Exhibit___(IT-5) that the "Customer Self-Service Enhancements" would "enable CDG project hots and authorized third parties to view and access commonly request project data and information" rather than "submitting a general inquiry", and that the "Operational Efficiency Enhancements" include "new collaborative tools". The Company states in the Justification Summary section on page 44 of Exhibit___(IT-5) that the enhancements "will generate more important improvements to operational efficiency, the customer experience, and quality and accuracy of billing and crediting through further automations of business processes and manual tasks". The Company also states on page 44 of Exhibit___(IT-5) that "an enhanced Value Stack Customer Platform will provide an improved customer experience". These enhancements, improvements, and new functionalities fit squarely within the strategic category, and there is no evidence indicating that the benefits arising from these

project elements will outweigh the cost. For these reasons, a reduction in budget is warranted. The Company indicates that the project contains multiple scopes and should prioritize the project elements necessary to maintain regulatory compliance.

Q. Does the recommended adjustment include a reduction to FTEs?

A. Yes, the recommended adjustment includes the reduction of 19 FTEs, commensurate with the reduction of project scope. The value of 19 reflects the recommended denial of the one FTE requested in the linking period.

Electric Operations

Q. Provide an overview of the OMS Resiliency and Sustainability project.

A. The project is within the Electric Operations organization, is currently in-progress, and is presented on pages 84 through 88 of Exhibit___(IT-6). For capital expenditures the Company spent $3.293 million in 2021, $5.004 million in 2022, $10.713 million in 2023, $11.472 million in 2024, and the Company forecasts $4.013 million in capital expenditures

for the project in 2025. For O&M, the Company states that $0.146 million was expended in 2024 and it does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the OMS Resiliency and Sustainability has various levels of scope completion and that project cost estimates include 15 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $0.25 million annually in 2029.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding the Company requests $13.421 million in Rate Year 1, $13.248 million in Rate Year 2, and $12.965 million in Rate Year 3. For incremental O&M, the Company requests $0.533 million in Rate Year 1 and $0.595 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend adjustments to the project

budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $9.394 million and the incremental O&M to $0.373 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements unnecessary for maintaining continued operational conditions and are unnecessary to maintain compliance with existing regulatory standards; these elements are insufficiently justified. The Company states, within the Summary of Financial Benefits and Costs section on page 87 of Exhibit___(IT-6), that benefits would be "derived from process improvements and reduced overhead through the reduction of IT outage hours by", "improved incident response", "reduction in future project costs", and automating testing. The Company also states on page 87 of Exhibit___(IT-6) that

there is “potential to lower hardware and software support costs through system consolidation.” The Company states on page 84 of Exhibit___(IT-6) that the project scope includes adding upgrades to its Operations Mobile APP that provide “more fluid processes", and the modernization of SCADA integrations to "provide operators a more timely and accurate picture". The Company also states on page 85 of Exhibit___(IT-6) that the project scope includes "adding additional data points" and "new data p[o]ints related to expanded GIS capabilities". Additionally, the Company states on page 85 of Exhibit___(IT-6) that the project includes new monitoring tools that will "potentially result" in faster response times. These project elements fit squarely within the strategic category, and there is no evidence indicating that the benefits arising from these elements will outweigh the costs. In response to DPS-596 the Company provides the estimated cost avoidance of $0.25 million annually in 2029. Given that the Company estimates expending $43.6 million in capital between 2025 and 2029, with

annual O&M of $1.3 million, such avoided costs are insubstantial. For these reasons, a reduction in budget is warranted. As the Company states in response to DPS-596 that the project has various levels of scope completion, the Company is capable of reducing the project scope to fit within my recommended budget.

Gas Operations

Q. Provide an overview of the Gas Digital As-Built project.

A. The project is within the Gas Operations organization, is categorized as regulatory mandated, is currently in planning, and is presented on pages 94 through 99 of Exhibit___(IT-7). There is no historical spending data or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Gas Digital As-Built project has a scope completion of 50 percent and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will not

result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $5.800 million in Rate Year 1, $6.200 million in Rate Year 2, and $8 million in Rate Year 3. For incremental O&M, the Company requests $0.35 million in Rate Year 1 and $0.045 million in Rate Year 2. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $4.060 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company by 70 percent.

Q. What is the rationale for the adjustment?

A. The Company states on page 95 of Exhibit___(IT-7) that the current data collection processes

are all manual, and the project would create operational efficiency and remove time-consuming human labor. Additionally, the Company states on page 98 of Exhibit___(IT-7) that the practices proposed by the project are "best practice with a strong return-on-investment." These project elements fit squarely within the strategic category and are insufficiently justified as there is no evidence indicating that the benefits of these elements will outweigh the costs. Despite these statements, the Company indicates in response to DPS-596 that the project would not result in cost avoidance. The White Paper also states that the Pipeline and Hazardous Materials Safety Administration (PHMSA) "does not explicitly prescribe capturing the full traceability data" proposed by the project. Additionally, the Company states, on page 98 of Exhibit___(IT-7) that the project would strategically integrate with Work and Assessment Management systems and the eGIS, and I recommend reductions to related projects. For these reasons, a budget reduction is warranted. The Company indicated that the

scope completion is 50 percent, the project scope can be reduced to fit within my recommended budget.

Strategic Projects/Programs

Customer Operations

Q. Provide an overview of the Digital Customer Experience project.

A. The project is within the Customer Operations organization and is currently ongoing. It is presented on pages 125 through 137 of Exhibit___(IT-5). For capital expenditures the Company states that it spent $12.621 million in 2020, $9.650 million in 2021, $10.738 million in 2022, $4.538 million in 2023, and $11.030 million in 2024. The Company forecasts $10 million in capital expenditures for the project in 2025. For O&M, the Company states that the project expended $6.456 million in 2020, $5.454 million in 2021, $6.035 million in 2022, $8.049 million in 2023, and $9.645 million in 2024. The Company forecasts $9.321 million in O&M costs for the project in 2025.

Q. What is the Company's scope of completion for the Digital Customer Experience Project?

A. In response to DPS-596, the Company indicates that the Digital Customer Experience project has various levels of scope completion and that the project uses the AGILE framework. Therefore, there is no planned contingency, and overruns will be handled through prioritization. Additionally, the Company indicates that the project resulted in $6.35 million in avoided costs in 2024, but that a study was needed to estimate cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the Digital Customer Experience project?

A. For capital funding, the Company requested $15.880 million in Rate Year 1; $15.880 million in Rate Year 2; and $15.880 million in Rate Year 3. For incremental O&M, the Company requests $2.524 million in Rate Year 1; $0.33 million in Rate Year 2; and $0.277 million in Rate Year 3. For FTEs, the Company requests four in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the Digital

Customer Experience project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $11.198 million and the incremental O&M to $1.780 million.

Q. How did you determine the recommended reductions for the Digital Customer Experience project?

A. The recommended capital budget was calculated by inflating the average of historical spending to 2026 dollars. The O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. The Company does not sufficiently justify elements of the Digital Customer Experience project. According to the financial information provided for the project on page 131 of Exhibit___(IT-5), since 2020, the Company has invested approximately $48 million in capital and incurred approximately $35 million in O&M developing and supporting the digital customer experience, alongside other projects with significant customer experience implications. Although the Company estimates the project yielded $6.3 million in cost avoidance in 2024, the Company invested approximately $11 million

in capital and expended $9.6 million in O&M for project in 2024. Additionally, on page 125 of Exhibit___(IT-5), the Company states, in the project work description, that the project will focus on "Personalization and Control", "Mobile App Enhancement", and "Virtual Assistant Enhancement". However, the Company has provided no evidence indicating that the benefits arising from these project elements will outweigh the costs. Further, on page 129 of Exhibit___(IT-5), the alternatives section provides that "limiting capital investment" would result in the Company being unable to provide "a continuously improving customer experience that meets evolving expectations, making customers less likely to use digital self-service options or participate in clean energy programs". However, the Company provides no evidence establishing what customer expectations are under these circumstances, or evidence indicating that reducing the project budget will result in fewer customers using digital services. For these reasons, a reduction in project budget is warranted. Finally, for the

capital funding recommendation, the average of the 2020 through 2024 historical expenditures adjusted for inflation, is sufficient to enable the Company to continue its current strategic efforts.

Q. Does the recommended adjustment include an adjustment to FTEs?

A. Yes. The project adjustment includes the reduction of three FTEs, commensurate with a reduction of project scope.

Q. Provide an overview of the Customer Data and Analytics project.

A. The project is within the Customer Operations organization and is currently on-going. The project is presented on pages 19 through 32 of Exhibit___(IT-9).

Q. What historical capital funding and O&M information does the Company provide for the Customer Data and Analytics project?

A. For capital expenditures, the Company states that it spent $3.425 million in 2020; $5.248 million in 2021; $5.232 million in 2022; $10.562 million in 2023; and $14.501 million in 2024. The Company forecasts $10.500 million in capital

expenditures for the project in 2025. For O&M, the Company states that the project expended $0.5 million in 2020; $0.55 million in 2021; $0.364 million in 2022; $2.729 million in 2023; and $2.162 million in 2024. The Company does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Customer Data and Analytics project has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

A. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $10.171 million in Rate Year 1, $13.561 million in Rate Year 2, and $12.205 million in Rate Year 3. For incremental O&M, the Company requests $1.094 million in Rate Year 1, $1.459 million in

Rate Year 2, and $1.148 million in Rate Year 3. For FTEs, the Company requests six in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend funding adjustments to the project?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $8.638 million and the incremental O&M to $0.929 million.

Q. How did you determine the recommended budget?

A. The proposed capital budget was calculated by inflating the average of historical spending to 2026 dollars; the O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. The project contains elements that are insufficiently justified. The Company provides, on page 19 of Exhibit___(IT-9), that the project "aims to continue development of analytics use cases in customer experience analytics, building on the 2023-2025 rate plan”, and that in 2023-2025, the Company focused on adding data source integrations and migrating reports, building

tools for back-office work management, adding new methods to analyze customer arrears, and expanding analyses related to call volumes. The Company also states on page 19 of Exhibit___(IT-9) that, in the 2026 to 2028 rate period, "the volume and complexity of analytics use cases requiring customer-centric data is expected to rise significantly due to the program's early successes." The Company also states in the project work description on page 26 of Exhibit___(IT-9) that the "analytics investments from 2026 to 2028 will combine augmented risk scoring models for more granular and additional customer segmentation with more targeted, effective, and proactive contact and treatment strategies." However, there is no evidence that indicates the benefits arising from these project elements will outweigh the costs. Additionally, the Company states in the project work description on page 22 of Exhibit___(IT-9) that "One of the use cases managed by the back-office is billing, much of which is automated. However, the Company has some complex billing situations with large customers that require

manual intervention and will benefit from data and analytics use cases." As my recommended budget maintains funding, in part, for the Back Office Automation program, the Company retains an avenue for improving back-office data practices. The Company also states in the work description on page 22 of Exhibit___(IT-9) that the project would "leverage enterprise data products to create analytics that will measure omnichannel experience, identify interdependencies between channels, and enable predictive analytics that identify the best channel through which to engage a given customer." However, there is no evidence that indicates that the benefits of these analytics will outweigh the cost. Additionally, the customer experience still stands to be improved through other projects, such as the Digital Customer Experience. For these reasons, a reduction to the project budget is warranted. Additionally, the Company states in response to DPS-596 that the project uses the AGILE framework, so the Company can reduce the project scope to fit within the budget recommendation.

Q. Does the adjustment include an adjustment to FTEs?

A. Yes, my recommendation includes the removal of one FTE, commensurate with the reduction of the project scope.

Q. Provide an overview of the Back Office Automation project.

A. The project is within the Customer Operations organization, is currently on-going, and is presented on pages 1 through 29 of Exhibit___(IT-5). For capital expenditures the Company spent $1.509 million in 2024 and forecasts $2 million in capital expenditures for the project in 2025. For O&M, the Company states that it expended $3.200 million in 2023, $3.885 million in 2024, and forecasts $4.698 million in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Back Office Automation project is comprised of components with various levels of scope completion and that project cost estimates include 10 percent contingency. Additionally, the Company

indicates that the project resulted in a cost avoidance of $4.789 million in 2024.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $10.530 million in Rate Year 1, $10.620 million in Rate Year 2, and $10.680 million in Rate Year 3. For incremental O&M, the Company requests $6.938 million in Rate Year 1, and -$0.068 million in Rate Year 2. For FTEs, the Company requests seven in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.638 million and the incremental O&M to $0.685 million.

Q. How did you determine the recommended capital budget?

A. The proposed capital budget was calculated by inflating the historical spending to 2026 dollars. To calculate O&M, we used a two-year linear forecast.

Q. What is the rationale for the adjustment?
A. As the total spending for the project in 2024 exceeded the avoided costs derived by the project, I recommend that the Commission not provide funding at the requested level. Continuing the project with the historical budget adjusted for inflation will allow additional time to determine if the cost avoidance arising from the project increases beyond the project cost. Additionally, other significant efforts by the Company in these proceedings related to improving Customer Service Representative workflows represent overlapping scopes, meaning that the Company has other avenues for expanding automation. For these reasons, a reduction in budget is warranted.
Q. Provide an overview of the Customer Recommendation & Analysis Tools project.
A. The project is within the Customer Energy Solutions organization, is currently on-going, and is presented on pages 8 through 14 of Exhibit___(IT-5-Upd). For capital expenditures, the Con Edison spent $12.015 million in 2023,

$11.971 million in 2024, and the Company forecasts $10.600 million in capital expenditures for the project in 2025. For O&M, the Company states that it expended $1.888 million in 2023, $3.228 million in 2024, and the Company forecasts $4 million in O&M costs for the project in 2025.

A. What additional project information did the Company provide in response to DPS-596?

Q. The Company indicates that the Customer Recommendation & Analysis Tools project is comprised of components with various levels of scope completion and that project cost estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

A. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $18.505 million in Rate Year 1, $17.082 million in Rate Year 2, and $12.594 million in Rate Year 3. For incremental O&M, the Company requests $4.220 million in Rate Year 1, $2.505 million in Rate Year 2, and $1.498 million in Rate Year 3.

For FTEs, the Company requested five in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $11.959 million and the incremental O&M to $2.213 million.

Q. How did you determine the recommended budget, and what is the rationale of the adjustment?

A. The budget calculations are presented in the Staff Markets and Innovation Panel testimony recommendation. I concur with the budget calculations and the underlying rationale.

Q. Provide an overview of the Customer Engagement Platform project.

A. The project is within the Customer Operations organization, is currently in planning, and is presented on pages 105 through 124 of Exhibit___(IT-5). There is no historical spending or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide

regarding the project in response to DPS-596?

A. The Company indicated that the Customer Engagement Platform project has a scope completion of 25 percent and that "No contingency applied; to be evaluated at time of award". Additionally, the Company states that avoided costs will result from the program but "cannot quantify that amount at this preliminary stage of the project."

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requested $9.142 million in Rate Year 1, $23.959 million in Rate Year 2, and $11.613 million in Rate Year 3. For incremental O&M, the Company requests $0.155 million in Rate Year 1, $2.335 million in Rate Year 2, and $0.802 million in Rate Year 3. For FTEs, the Company requests one in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the funding request for this project?

A. Yes. I recommend rejecting the entire funding

requested for this project.

Q. What is the rationale for the adjustment?

A. This project is inadequately justified. In response to DPS-993, the Company states that the project provides improvements, new features, streamlines repetitive tasks, and eliminates the need to access multiple systems. These are all unnecessary to maintain existing operational standards. In response to DPS-596, the Company indicates that the scope completion is 25 percent. Given the previously discussed customer-service related projects, an additional $44.714 million customer-service investment that does not fill an immediate identifiable need is unjustified. Additionally, there is no evidence indicating that the benefits arising from the project will outweigh the costs. For these reasons, the Commission should reject the Company's request for funding of this project.

Q. Provide an overview of the Emergency Outage Communications program.

A. The program is within the Customer Operations organization, is currently in planning, and is presented on pages 138 through 144 of

Exhibit___(IT-5). There is no historical spending, nor any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Emergency Outage Communications Program has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company states that no cost avoidance results from the project.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requests $2.097 million in Rate Year 1, $3.202 million in Rate Year 2, and $3.202 million in Rate Year 3. For incremental O&M, the Company requests $2.210 million in Rate Year 1 and -$0.11 million in Rate Year 2. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project

budget?

A. Yes. I recommend denial of the Company's entire funding request for this project.

Q. What is the rationale for the denial?

A. The project in not justified. In response to DPS-974, the Company states that it can currently take "six hours or more" to send text message campaigns to its entire customer base, and that through the project, the time necessary can be reduced to less than three hours. However, there is no evidence that the benefits of this reduction will outweigh the costs. Similarly, there is no evidence that current process, which relies upon the broadband service providers' "best-efforts" is insufficient for current needs. The Company indicates in response to question 2b of DPS-974 that it is currently capable of reaching large numbers of customers, meaning that the project proposes incremental improvements to existing functionalities. For these reasons, the Commission should reject the Company's request for funding of this project.

Construction

Q. Provide an overview of the Material Management Inventory Upgrades for Contractor Yards project.

A. The project is within the Construction organization, is currently in planning, and is presented on pages 137 through 141 of Exhibit___(IT-7). There is no historical spending or any forecasted 2025 costs associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Material Management Inventory Upgrades for Contractor Yards project has a scope completion of 25 percent and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will result in avoided costs of between $0.5 million and $0.75 million following completion in the fourth quarter of 2027.

Q. What capital funding does the Company request for the project?

A. For capital funding, the Company requests $1.800 million in Rate Year 1 and $1.800 million in

Rate Year 2. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission deny the funding of the project.

Q. What is the rationale for the adjustment?

A. This strategic project is underdeveloped and results in insubstantial avoided costs. The White Paper identifies in the alternative section on page 138 of Exhibit___(IT-7) that one FTE currently coordinates delivery of material to construction yards, and that under the project, the vendor "may need approximately 12 FTEs". While it is recognizable that additional staffing might be warranted, the Company should evaluate its existing processes and seek a more cost-effective solution.

Electric Operations

Q. Provide an overview of the WMS Exadata Hardware Upgrade To Avoid Tech Debt project.

A. The project is within the Electric Operations organization, is currently in planning, and is presented on pages 237 through 241 of

Exhibit___(IT-7). There is no historical spending or any forecasted 2025 costs information associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the WMS Exadata Hardware Upgrade To Avoid Tech Debt project has a scope completion of 25 percent and that project cost estimates include 20 percent contingency. Additionally, the Company states that no cost avoidance results from the project.

Q. What capital funding did the Company request for the project?

A. For capital funding, the Company requests $7.575 million in Rate Year 1 and $3.575 million in Rate Year 2. This request is presented in Exhibit__(IT-1-Upd)

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission reject the entire requested funding for this project.

Q. What is the rationale for your recommendation?

A. The project is insufficiently justified. On page 237 of Exhibit___(IT-7), the Company states

in the project work description that a "high-level project outline" will be conducted, that will include "reviewing current capacities and data size". Although the Company states on page 238 of Exhibit___(IT-7) that system hardware is "nearing the end of its support life", the Company also states, on page 237 of Exhibit___(IT-7), that "Oracle will continue to support our hardware for at least the next five years", so there is no immediate need to perform the project. In response to DPS-596, the Company states that the project has a scope completion of 25 percent, which indicates the project estimates are currently unrefined. For these reasons, denying the project funding is warranted.

Gas Operations

Q. Provide an overview of the Service Line Inspection GIS Routing & Traceability project.

A. The project is within the Gas Operations organization, is currently in planning, and is presented on pages 193 through 196 of Exhibit___(IT-7). There is no historical spending or any forecasted 2025 cost information

associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Service Line Inspection GIS Routing & Traceability project has a scope completion of 25 percent and that project cost estimates include 20 percent contingency. Additionally, the Company states that there would be no cost avoidance from the project.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requests $2 million in Rate Year 1 and $2 million in Rate Year 2. For incremental O&M, the Company requests $0.1 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission deny the requested project funding for Rate Year 1.

Q. What is the rationale for the adjustment?

A. The project is insufficiently justified. On

page 195 Exhibit___(IT-7), the White Paper identifies in the alternative section that the Company can "continue manual processes leveraging excel spreadsheets to review and assign work." The Company states, in the "Summary of Financial Benefits and Costs" section on page 195 of Exhibit___(IT-7), that the project is "expected to improve technician efficiency", which would in turn "lead to a lower cost per inspection." However, as indicated in response to DPS-596, the project will not result in cost avoidance, therefore, such stated benefits are not financial benefits. As such, there is no evidence that the benefits of the project will outweigh the costs. As such, we recommend denying the Rate Year 1 project budget.

Information Technology

Q. Provide an overview of the Budget System Enhancements project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 7 through 12 of Exhibit___(IT-7). For capital expenditures, the

Company spent $4.278 million in 2020, $1.876 million in 2021, $1.241 million in 2022, $1.741 million in 2023, $0.816 million in 2024, and the Company forecasts $0.5 million in capital expenditures for the project in 2025. There was no O&M spending in 2024.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Budget System Enhancements project has a scope completion of 25 percent and that project estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding does the Company request for the project?

A. For capital funding, the Company requests $1.500 million in Rate Year 1, $1.500 million in Rate Year 2, and $1.500 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.050 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed amount.

Q. What is the rationale for the adjustment?

A. On page 7 of Exhibit___(IT-7), the Company states within the project work description that the Company finalized transitioning to the Enterprise planning and Budgeting Cloud Service in 2020 and page 9 of Exhibit___(IT-7) provides that the Company has invested approximately $10 million dollars in enhancing the system between 2020 and 2024. As my recommended capital budget denies funding related to the ORACLE EBS Cloud Migration project, which the Company indicates on page 7 of Exhibit___(IT-7) that it necessitates only part of the Budget System Enhancement expenditure; therefore, a reduction to the capital budget is warranted. The Company identifies an alternative on page 8 of Exhibit___(IT-7) of "do not invest in upgrades and enhancements, develop workarounds to

integrate new or updated data loads";
additionally, the Company indicated in DPS-596
that the scope completion of the project is only
25 percent. As such, a reduction of budget is
warranted. The Company should strategically
leverage the alternative to reduce the scope of
the project within the bounds of my recommended
reduced budget.

Q. Provide an overview of the Supply Chain Data and Analytics project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 106 through 113 of Exhibit___(IT-9). There is no historical spending, nor any forecasted 2025 cost information associated with the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Supply Chain Data and Analytics has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company

estimates that the project will result in avoided costs between $2 and $4 million annually.

Q. Is the categorization of the project as on-going appropriate?

A. No. The Company indicates there is no historical spend associated with the project, therefore, planning/initiation would be more appropriate.

Q. What capital funding, incremental O&M, and full-time employees does the Company request for the project?

A. For capital funding, the Company requests $4.410 million in Rate Year 1, $5.881 million in Rate Year 2, and $5.292 million in Rate Year 3. For incremental O&M, the Company requests $0.395 million in Rate Year 1, $0.57 million in Rate Year 2, and $0.36 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend funding adjustments to this project?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $3.087 million and the incremental O&M to $0.277 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements that are not adequately justified. The Company identifies "continue program as-is" an alternative to the project on page 108 of Exhibit___(IT-9). The Company utilizes "Operational Efficiency" and "Cost Avoidance" as main headings within the Justification Summary section, and the "Major financial benefits", provided on page 109 of Exhibit___(IT-9) in the Summary of Financial Benefits and Costs section, states that the project "will lead to O&M and Capital savings", and "will also lead to decreased costs", and the Company indicates in response to DPS-596 an avoided cost estimate between $2 and $4 million.

Given that the capital request begins at $4.4 million in Rate Year 1, and the O&M request in Rate Year 1 is $0.395 million, the avoided costs cannot reasonably justify the project budget, as the costs outweigh the benefits. As such, a reduction in project budget is warranted. The Company states in response to DPS-596 that the project would utilize the AGILE framework, so the Company can modify the project scope to fit within my recommended budget. The Company should focus efforts on the automations that result in the highest cost avoidance.

Q. Provide an overview of the Tech Modernization for PEGA Applications project.

A. The project is within the Information Technology organization, currently on-going, and is presented on pages 203 through 214 of Exhibit___(IT-7). The Company states that there were no capital or O&M costs for the project in the years 2020 through 2024, and the Company forecasts $0.7 million in O&M costs in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Tech

Modernization for PEGA Applications project has a scope completion of 25 percent and that project cost estimates include 15 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $1.5 million annually.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requested $13.233 million in Rate Year 1, $13.233 million in Rate Year 2, and $13.183 million in Rate Year 3. For incremental O&M, the Company requests $0.425 million in Rate Year 1, $0.1 million in Rate Year 2, and $0.1 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $9.263 million and the incremental O&M to $0.998 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by

reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements that are not adequately justified. On page 205 of Exhibit___(IT-7), the Justification Summary section of the White Paper provides that "Con Edison can save costs and time by reducing infrastructure and support expenses", but the Company also states on page 206 of Exhibit___(IT-7) that the Company wants to "compare the costs and benefits of implementing Pega Cloud", meaning that the cost-benefit analysis is immature. In the alternatives section of the project White Paper, on page 208 of Exhibit___(IT-7), the Company identifies "keep using the platform on their own premises", and in the risk of no action section of the White Paper states, "although the current on-prem Pega application would remain operational, it may not progress as swiftly as its cloud counterpart." Additionally, in response to DPS-

596 the Company states that the scope completion of the project is 25 percent. Taken together, there is no immediate need for the project and the strategic value remains uncertain—and is therefore inadequately justified. For these reasons, a reduction in budget is warranted. As the project scope completion is 25 percent, the Company can modify the project scope to fit within the budget I recommend.

Q. Provide an overview of the Electric Work Management Data and Analytics project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 53 through 62 of Exhibit___(IT-9). There is no historical spending, nor any forecasted 2025 cost information associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Electric Work Management Data and Analytics project has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled

through prioritization. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. Is the categorization of the project status as on-going appropriate?

A. No. The Company indicates there has been no spending on the project in the historical period, so initiation/planning is more appropriate.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $6.098 million in Rate Year 1, $8.131 million in Rate Year 2, and $7.317 million in Rate Year 3. For incremental O&M, the Company requests $0.597 million in Rate Year 1, $0.84 million in Rate Year 2, and $0.603 million in Rate Year 3. For FTEs, the Company requested 2 in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1

capital budget to $4.269 million and the incremental O&M to $0.418 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. Elements of this strategic project are inadequately justified. On page 56, the Company states within the Justification Summary section under the "Optimize Cost" subheading, that the project would "enable the Company to improve planning and scheduling to allow more efficient spending and optimization of costs", and that "optimized work management and emergency response also help keep repair costs in check". The Company also states on page 56 of Exhibit___(IT-9) that "the Company estimates that these analytics will lead to efficiency benefits across repair and planning costs ensuring that the Company optimizes costs for

key asset replacements and repairs, including reduced repair costs, time spent on jobs and reduced false truck rolls." However, in response to DPS-596, the Company states that the project will not result in cost avoidance.

Q. Are there any alternatives to this project?

A. On page 57 of Exhibit___(IT-9), the alternatives section of the project states "continue program as-is", and "procure analytics solution from vendors instead of developing them in-house" as project alternatives. On page 57 of Exhibit___(IT-9), the risk of no action section states "reduced reliability", "sub-optimal capital deployment", and "unoptimized customer experience"; however, not implementing the program will not cause a reduction in reliability; rather, it will cause reliability to remain the same. Not implementing the program will not reduce capital deployment optimization, rather, it will remain the same. Not implementing the program will not reduce customer experience optimization, it will remain the same. There is no evidence indicating that the benefits arising from these project elements

will outweigh the costs. For these reasons, a reduction in budget is warranted. Additionally, in response to DPS-596, the Company states that the project utilizes the AGILE framework, so the Company can reduce the project scope to fit within the proposed budget.

Q. Provide an overview of the Forecasting and Planning Data and Analytics project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 71 through 79 of Exhibit___(IT-9). There is no historical spending or any forecasted 2025 cost information associated with the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the Forecasting and Planning Data and Analytics has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. Is the categorization of the project status as on-going appropriate?

A. No. The Company indicates there has been no spending on the project in the historical period, so initiation/planning is more appropriate.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $6.796 million in Rate Year 1, $9.061 million in Rate Year 2, and $8.155 million in Rate Year 3. For incremental O&M, the Company requests $0.636 million in Rate Year 1, $0.621 million in Rate Year 2, and $0.5 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission deny the entire funding requested for this project.

Q. What is the rationale for recommending no funding?

A. The project is not justified at this time. My recommended budget retains, in part, the AMI Sustainability Program and the Clean Energy, AMI and DER Data and Analytics Program. These projects are in addition to the AMI Steady State project, which provides the investment necessary to maintain current operational conditions. The Company states on page 71 of Exhibit___(IT-9) that the Company provided valuable insights from AMI and other customer-specific data to enhance commodity forecast accuracy. Although the project may improve forecast accuracy, there is presently no evidence to suggest that the Company's current forecasting abilities are inadequate or will become so. While the project could potentially result in cost avoidance, there is no basis to evaluate the cost avoidance, and by extension, the cost-benefit analysis. As such, the there is no evidence indicating that the benefits arising from the project will outweigh the costs. For those reasons Commission denial of the requested funding is warranted.

Q. Provide an overview of the Clean Energy, AMI and

DER Data and Analytics program.

A. The program is within the Information Technology organization, is currently on-going, and is presented on pages 10 through 18 of Exhibit___(IT-9). There is no historical spending or any forecasted 2025 cost information associated with the program.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Clean Energy, AMI and DER Data and Analytics program uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the program will not result in cost avoidance.

Q. Is the categorization of the program as on-going appropriate?

A. No. The Company indicates there has been no spending on the program, so initiation/planning is more appropriate.

Q. What capital funding, incremental O&M, and full-time employees did the Company request for the project?

A. For capital funding, the Company requested $7.471 million in Rate Year 1, $9.961 million in Rate Year 2, and $8.965 million in Rate Year 3. For incremental O&M, the Company requests $0.762 million in Rate Year 1, $0.774 million in Rate Year 2, and $0.643 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the program budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $5.230 million and the incremental O&M to $0.533 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed expenditure; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The program contains insufficiently justified elements. The program work description states

"the Clean Energy, AMI, and DER Data and Analytics program and associated capabilities have continuously matured since our last rate case. This program has supported the clean energy transition...". However, the Company indicates that there have been no expenditures related to this program since 2020, meaning whatever capabilities were developed were developed under another program. On page 14 of Exhibit___(IT-9), the "Risk of No action" section provides "Sub-optimal capital deployment in market, customer education and load forecasting becomes a risk without adequate analytic capabilities", however, there is no evidence to indicate that the Company currently lacks adequate analytic capabilities. The "Risk of No Action" section, on page 14 of Exhibit___(IT-9), also states an outcome could be "Unoptimized customer experience", but there is no evidence to indicate that the customer experience requires optimization. The "Alternatives" section found on page 13 of the exhibit states "Continue program as-is" but states that this will "significantly impact the

Company's analytic capabilities". However, there is no evidence to indicate that, but for the project, analytic capabilities would decrease. The alternative also states that continuing as-is would "increase potential for inaccurate and inconsistent reporting products", however, there is no evidence to indicate that, but for the project, there accuracy and consistency would decrease. Additionally, there is no evidence indicating that the benefits arising from these project elements will outweigh the costs. For these reasons a reduction to the project budget is justified. As the Company indicated in response to DPS-596, the project utilizes the AGILE framework so the project scope can be refined to fit within my recommended budget.

Q. Provide an overview of the Grid Asset Reliability and Resilience Data and Analytics project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 1 through 9 of Exhibit___(IT-9). There is no historical spending or any

forecasted 2025 cost information associated with the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Grid Asset Reliability and Resilience Data and Analytics has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company estimates that the project will "lead to financial benefits in terms of avoiding over $100 [million] in future costs", and that any savings will be "gradually realized" with the "full amount realized in aggregate by 2030, "or one year after predictive maintenance is applied to the final asset class."

Q. Is the categorization of this project as on-going appropriate?

A. No. The Company indicates there has been no spending on the project in the historical period, so initiation/planning is more appropriate.

Q. What capital funding, incremental O&M, and FTEs

did the Company request for the project?

A. For capital funding, the Company requests $10.846 million in Rate Year 1, $14.461 million in Rate Year 2, and $13.015 million in Rate Year 3. For incremental O&M, the Company requests $1.032 million in Rate Year 1, $1.179 million in Rate Year 2, and $0.991 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the proposed project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $7.592 million and the incremental O&M to $0.722 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains elements that are insufficiently justified. The Company states, in the project work description on page 1 of Exhibit___(IT-9) that the project "aims to modernize the Company's predictive maintenance program, increasing reliability and improving capital efficiency". The Company also states in the project work description on page 1 of Exhibit___(IT-9) that the project includes "Geographic Information System (GIS) models are planned to be updated, to enable downstream analytics use cases". As my recommendations include modifications to the GIS project budget, a reduction in this project's budget is warranted. Although the Company estimates avoided costs would arise from the program, such avoided costs are not supported by an avoided cost study, are speculative, and arise outside of the immediate rate period.

Q. Are there any alternatives to this project?

A. On page 4 of Exhibit___(IT-9), The Company identifies an alternative as "Continue program as-is" but Con Edison rejects this alternative, as according to the Company this would

"significantly impact the Company's analytic capabilities." However, there is no evidence to indicate that, but for the project, the Company's analytic capabilities would decrease. Rather, the project represents an enhancement and/or incremental improvement over existing methods. The "Risk of no Action" on page 4 through 5 of Exhibit___(IT-9) identifies the risks as having an "unreliable system", "sub-optimal capital deployment", and "unoptimized workforce management". However, there is no evidence to indicate that, but for the program, system reliability would decrease; or that capital deployment and workforce management will become less efficient. Additionally, there is no evidence indicating that the benefits arising from these project elements will outweigh the costs. For these reasons, a reduction in budget is warranted. As the Company's response to DPS-596 indicates that the program uses the AGILE framework, the Company can reduce the scope of the project to fit within my recommended budget.

Q. Provide an overview of the Data & AI Governance project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 33 through 43 of Exhibit___(IT-9). For capital expenditures, the Company spent $4.212 million in 2023, and $4.582 million in 2024, and the Company forecasts $2.334 million in capital expenditures for the project in 2025. For O&M, the Company states that it spent $0.164 million in 2024, and the Company forecasts $0.169 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicated that the Data & AI Governance project has various levels of scope completion and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requested

$4.500 million in Rate Year 1, $4 million in Rate Year 2, and $3.500 million in Rate Year 3. For incremental O&M, the Company requests $0.859 million in Rate Year 1, $0.38 million in Rate Year 2, and $0.593 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $3.150 million and the incremental O&M to $0.601 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. This project contains insufficiently justified elements. The Company states, within the project work description, on page 33 of Exhibit___(IT-9), that the program "looks to

continue the deployment and scaling of our governance framework and tooling (Microsoft Purview) in additional data domains", and the work would "comprise the continual onboarding of new data products and sources, as well as the enhancement of data governance processes and polices across the Company"; and that "the program will expand into AI Governance, Trust, and Safety". As previously discussed, I recommend reductions to the budgets associated with AI projects and programs, which implies a reduction of work associated with AI Governance. On page 37 of Exhibit___(IT-9), the Company provides the alternative of continuing with current processes, but rejects it, stating in part that "the volume of data required for key initiatives and applications across the Company is growing constantly." As I recommend reductions or denials to initiatives and applications that would otherwise result in increased data growth rates and total data volumes, the growth rate of data volume will be lower relative to the values estimated by the Company, reducing the need for the project.

Additionally, while the Risk of no Action section provides "Poor Data Quality" as a risk, however, there is no evidence that, but for the program, data quality will decrease. For these reasons, a reduction in budget is warranted. As the Company indicates in response to DPS-596 that the program uses the AGILE framework, the Company can reduce the project scope to fit within my recommended budget.

Q. Provide an overview of the Enterprise Data & Analytics Foundations project.

A. The project is within the Information Technology organization, is currently on-going, and is presented on pages 63 through 70 of Exhibit___(IT-9). There was no historical spending or any forecasted 2025 cost information associated with the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Enterprise Data & Analytics Foundations project is comprised of components with various levels of scope completion and that project cost estimates include 25 percent contingency. Additionally,

the Company indicates that the project will not result in cost avoidance.

Q. Is the categorization of the project status as on-going appropriate?

A. No. The Company indicates there has been no spending on the project in the historical period, so initiation/planning is more appropriate.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $9.591 million in Rate Year 1, $9.745 million in Rate Year 2, and $7.823 million in Rate Year 3. For incremental O&M, the Company requests $2.737 million in Rate Year 1, $2.637 million in Rate Year 2, and $0.39 million in Rate Year 3. For FTEs, the Company requests five in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $6.714 million and reducing

the incremental O&M to $1.916 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. Elements of the project are inadequately justified. On page 63 of Exhibit___(IT-9), the Company states that the White Paper "summarizes Enterprise Data & Analytics foundational investments required to support the various business white papers." As my recommended budget includes reductions to the Enterprise Data & Analytics project portfolio, a commensurate reduction to this project budget is warranted. Although the Company states on page 67 of Exhibit___(IT-9) that the alternative to the project, which is "doing nothing", would not support business-driven analytics, there is no evidence that indicates reducing investment in the program will diminish the current Company's current analytic capabilities. Additionally,

there is no evidence indicating that the benefits arising from these project elements will outweigh the costs. As the Company states in response to DPS-596 that the project contains various levels of scope, the Company can reduce the project scope to fit within my recommended budget.

Q. Provide an overview of the Enterprise Geographic Information System (eGIS) Implementation Phase 3 project.

A. The project is within the Information Technology organization, is currently in-progress, and is presented on pages 33 through 39 of Exhibit___(IT-6). For capital expenditures, the Company spent $25 million in 2023, $39.378 million in 2024, and the Company forecasts $41.300 million in capital expenditures for the project in 2025. The Company states that there were no O&M costs for the project in the years 2020 through 2024 and the Company does not forecast any O&M for 2025 related to the project; however, as previously discussed, the O&M component of the eGIS is presented within the eGIS Support project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Enterprise Geographic Information System (eGIS) Implementation Phase 3 project has a scope completion of 100 percent and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project allows the Company to realize the cost avoidance and savings estimated at $395 million over 20 years.

Q. What capital funding, incremental O&M, and full-time employees did the Company request for the project?

A. For capital funding, the Company requests $43.300 million in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $14.433 million.

Q. How did you determine the recommended capital budget?

A. I arrived at the recommended capital budget by

multiplying the Rate Year 1 capital budget proposed by the Company by 33 percent.

Q. What is the rationale for the adjustment?

A. This strategic project contains elements that are insufficiently justified. The White Paper states on page 33, that the Company began Phase 3 of the eGIS project in the first quarter of 2023, and on page 34 of Exhibit___(IT-6) states that "since the initial description, the Company is expanding the scope to include 41 additional data elements". The Company also states, on page 34 of Exhibit___(IT-6), that the Company "submitted a business plan and a Cost Benefit Analysis for all three phases" in 2019, and the Company has "considered lessons learned and expanded scope to rework phase 3 cost to $160 million, from the previously indicated $125 million". However, the original estimate of Phase 3 work provided by the Company in the 2019 rate case included $35 million in contingency funds. Taken together, the Company's initial estimation was off first by $35 million, the contingent amount, and now the Company has expanded the scope, increasing project budget an

additional $35 million. This $70 million differential between the initial estimation and the final cost edges towards the project costs and avoided costs netting to zero. Given that the avoided costs were an integral component to the original project justification, continued reductions to the net avoided costs is a cause for concern. For these reasons, a reduction in project budget is warranted. The Company should prioritize finalizing the eGIS implementation integrating the new platform with existing systems.

Q. Provide an overview of the Gas Systems Analytics project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 80 through 88 of Exhibit___(IT-9). There is no historical spending or any forecasted 2025 cost information associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Gas Systems Analytics has various levels of scope completion

and that the project uses the AGILE framework, so there is no planned contingency and overruns will be handled through prioritization. Additionally, the Company indicates that the project will result in avoided costs between 10 and 20 percent.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $3.735 million in Rate Year 1, $4.981 million in Rate Year 2, and $4.482 million in Rate Year 3. For incremental O&M, the Company requests $0.314 million in Rate Year 1, $0.637 million in Rate Year 2, and $0.402 million in Rate Year 3. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $2.615 million and the incremental O&M to $0.22 million.

Q. How did you determine the recommended capital

budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed amount; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains inadequately justified elements. The Company states on page 80 of Exhibit___(IT-9) that the program is intended to "enable the gas operations team to accurately predict and plan assets, perform predictive maintenance, perform cross- commodity analytics, workforce management, emergency response, etc." However, the White Paper does not articulate a specific need for more advanced analytics at this time. The Company states, on page 81 of Exhibit___(IT-9), that the project includes developing updated work scheduling and workforce management that overlaps with the scope of the Gas Applications project, which has already, according to its White Paper, "allowed for the standardization of work processes, better work scheduling, work prioritization". As such,

there is no evidence indicating that the benefits arising from these project elements will outweigh the costs. For these reasons, a reduction to the project budget is warranted. The Company indicates in response to DPS-596 that the project utilizes the AGILE framework, so the project scope can be modified to fit within my recommended budget.

Q. Provide an overview of the Rapid Restore Re-architecture project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 184 through 187 of Exhibit___(IT-7). There is no historical spending or any forecasted 2025 cost information associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Rapid Restore Re-architecture project has a scope completion of 25 percent and that project cost estimates include 30 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $3.207 million in Rate Year 1, $1.447 million in Rate Year 2, and $0.24 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission deny the entire requested project funding.

Q. What is the rationale for the adjustment?

A. The Company identifies in response to DPS-596 that the project scope has a completion of 25 percent, meaning that Con Edison has not yet determined the project's business objectives. The Company states, in the alternative section, on page 185 of Exhibit___(IT-7), that "An alternative would be to do nothing. The operators will continue to use the same process as today." but that this would result in "potentially slower equipment time and potential for operator error." However, this alternative will not result in a decrease in response time, but rather a decrease relative to the response

time that the project would potentially enable. The Company also states within the Justification Summary section on page 185 of Exhibit___(IT-7) that the servers need to be upgraded by July 2027, meaning there is no immediate need. For those reasons, the denial of the requested funding for this project is warranted.

A. Provide an overview of the Clean Energy Mapping Platform project.

Q. The project is within the Information Technology organization, is currently in planning, and is presented on pages 12 through 21 of Exhibit___(IT-6). There is no historical spending or any forecasted 2025 cost information associated with the project.

A. What information did the Company provide regarding the project in response to DPS-596?

Q. The Company indicates that the Clean Energy Mapping Platform project has a scope completion of 50 percent and that project estimates include 10 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

A. What capital funding did the Company request for

the project?

Q. For capital funding, the Company requests $30 million in Rate Year 1, $35 million in Rate Year 2, and $35 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission reject the Company's entire request for funding.

Q. What is the rationale for the recommendation?

A. This project is not adequately justified. As previously discussed, the Company has not yet completed its transition to the eGIS and scope expansion has resulted in the originally estimated Phase 3 project budget being insufficient. The Company states on page 19 of Exhibit___(IT-6) that "the financial benefits of upgrading to the UN does not outweigh the costs of the implementation". Although product support for the GN model underlying the eGIS sunsets in 2028, as stated on page 12 of Exhibit___(IT-6), this does not drive an immediate need. The Company is currently undergoing numerous projects that will result in

cost avoidance and initiating a $185 million multi-year GIS project prior to finalizing its on-going $160 million multi-year GIS project is not justified. The Company should focus efforts on finalizing system transitions and optimizing current system integrations.

Q. Provide an overview of the Storm Response Technology Advancements project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 40 through 48 of Exhibit___(IT-6-Upd). There is no historical spending or any forecasted 2025 cost information associated with the project.

Q. What information did the Company provide regarding the project in response to DPS-596?

A. The Company indicates that the Storm Response Technology Advancements project has a scope completion of 25 percent and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

Q. What capital funding, incremental O&M, and FTEs

did the Company request for the project?

A. For capital funding, the Company requests $9.314 million in Rate Year 1, $5.790 million in Rate Year 2, and $2.900 million in Rate Year 3. For incremental O&M, the Company requests $0.1 million in Rate Year 1, $0.45 million in Rate Year 2, and $0.65 million in Rate Year 3. For FTEs, the Company requests five in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the requested funding for this project?

A. Yes. In concurrence with the Staff Electric Resilience and Reliability Performance Mechanism Panel, I support Staff's position to recommend that no funding be provided for this project.

Q. What is the rationale for the adjustment?

A. The project is insufficiently justified. In response to DPS-992, the Company states that "current processes are effective" but states "expectations are requiring faster restoration times," citing a fine implemented in April 2022. Given that the fine has been implemented since

2022, the Company has already implemented the processes necessary to avoid the fines. The Company also states in response to DPS-992 that the Company believes the project could reduce crew onboarding times, which currently take approximately two hours, by "as much as one hour." This reduction is insignificant, and the Company has not supported that the benefits of such reduction will outweigh the costs necessary to achieve the reduction. The Company also states in response to DPS-992 that the current weather modeling process yields effective results, and there is no indication that the incremental improvement of the weather model process will derive benefits that outweigh the costs to implement or maintain the improvement. For those reasons, I recommend that the Commission reject the project budget.

Q. Provide an overview of the Finance and Supply Chain Transformation project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 59 through 71 of Exhibit___(IT-7). The Company states that there

were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. The Company indicates that $1.663 million of O&M funding was expended on the project in 2024, and the Company does not forecast any O&M for 2025 related to the project.

A. What additional project information did the Company provide in response to DPS-596?

Q. The Company states that the Finance and Supply Chain Transformation project has a scope completion of 25 percent and that project estimates include 30 percent contingency. Additionally, the Company indicates that the project will result in avoided costs but does not articulate an amount.

A. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $130.573 million in Rate Year 1, $134.943 million in Rate Year 2, and $46.762 million in Rate Year 3. For incremental O&M, the Company requests $0.104 million in Rate Year 1, $0.017

million in Rate Year 2, and $1.764 million in Rate Year 3. For FTEs, the Company requests 13 in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission deny the entire funding for the project.

Q. What is your rationale?

A. The project is insufficiently justified. On page 65 of Exhibit___(IT-7), within the alternatives section of the White Paper, the Company states that "Con Edison has the option to either continue with the existing local solution or postpone the transition to the cloud." The Company also states on page 66 of Exhibit___(IT-7) that "while the on-premises Oracle EBS will remain operational, it will not receive updates and improvements at the same pace as the cloud version." The Company is currently in the process of completing the eGIS project that is forecasted to go over budget; and proposes spending an additional $185 million

on a secondary eGIS related project, the Clean Energy Mapping Platform. The Company has also made significant investments in customer service systems and proposes another $145 million in upgrading the customer service system in 2026 to 2028. Beginning another major initiative before the actual cost avoidance of these major projects can be calculated would be hasty, and the Company states that it can continue its existing processes. For these reasons, rejection of the funding for the project is warranted.

Q. Provide an overview of the Fixed Asset and Tax Accounting Transformation project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 76 through 80 of Exhibit___(IT-7). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. For O&M, the Company states that it expended $0.66 million in 2020, $0.67 million in 2021, $0.68 million in 2022,

$0.69 million in 2023, $0.71 million in 2024, and the Company forecasts $0.612 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Fixed Asset and Tax Accounting Transformation project has a scope completion of 25 percent and that project estimates include 30 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding and incremental O&M did the Company request for the project?

A. For capital funding, the Company requests $25.717 million in Rate Year 1, $25.758 million in Rate Year 2, and $13.059 million in Rate Year 3. For incremental O&M, the Company requests $0.643 million in Rate Year 1, $0.032 million in Rate Year 2, and $0.034 million in Rate Year 3. This request is presented in Exhibit__(IT-1-Upd) and Exhibit__(IT-2-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend that the Commission entirely

reject funding the project.

Q. What is the rationale for your recommendation?

A. The project is insufficiently justified. The Company states, within the project work description on page 76 of Exhibit___(IT-7) that a "Phase 0 scoping and planning effort for this project will be conducted in 2025 to produce a roadmap for the project activities…", and during that "high level phase", a "comprehensive analysis will be conducted of all critical functions and process", as well as a review of all connections with other Con Ed systems." The Company also states in the project work description on page 76 of Exhibit___(IT-7) that it is "critical that the new implementation coincides with the Oracle Fusion Cloud ERP implementation". However, this refers to a system overhaul proposed within the Finance and Supply Chain Transformation project that, as previously discussed, I recommend that the Commission deny the proposed project funding. On page 79 of Exhibit___(IT-7), in the Summary of Financial Benefits and Costs section of the White Paper, the Company states that "the new

solution will support more timely and more automated unitizations, which directly impact tax repair eligibility and have a cash positive tax impact for the Company". Additionally, on page 78 of Exhibit___(IT-7), in the justification summary section of the White Paper, the Company states that the project would "lessen the dependency on IT and create efficiencies in the department." However, in response to DPS-596, the Company states that the project will not result in cost avoidance. For those reasons, the project should be rejected by the Commission.

Q. Provide an overview of the Fraud Data Analytics Platform project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 90 through 93 of Exhibit___(IT-7). For capital expenditures, Con Edison spent $0.305 million in 2023, $0.81 million in 2024, and the Company does not forecast any capital expenditures in 2025 related to the project. For O&M, the Company states that it expended $1.200 million in 2024

and the Company does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Fraud Data Analytics Platform project has a scope completion of 50 percent and that project estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $1.700 million in Rate Year 1, $0.13 million in Rate Year 2, and $0.665 million in Rate Year 3. For incremental O&M, the Company requests $0.265 million in Rate Year 1 and $0.045 million in Rate Year 2. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1

capital budget to $0.593 million and the incremental O&M to $0.175 million.

Q. How did you determine the recommended budget?

A. The recommended capital budget was calculated by inflating the average of historical spending to 2026 dollars; the O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. Increasing the project budget is not justified. The Company states on page 90 of Exhibit___(IT-7), that the project plans on expanding fraud risk monitoring into new areas, but there is no evidence indicating that the benefits of doing so will outweigh the costs. My recommended budget, based on the inflated historic average, provides sufficient funding for the Company to continue operating the platform and a steady rate of expansion. As the Company indicates in response to DPS-596 that the project scope is 50 percent complete, the Company can refine the project scope to fit within the recommended budget.

Q. Does your adjustment include any reductions to FTEs?

A. Yes, the recommendation includes the reduction of one FTE, commensurate with the reduced project scope.

Q. Provide an overview of the Enterprise Architecture Modernization project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 19 through 24 of Exhibit___(IT-8). For capital expenditures, the Company spent $0.235 million in 2023, $0.608 million in 2024, and the Company forecasts $0.3 million in capital expenditures for the project in 2025. The Company states that there were no O&M costs for the project in the years 2020 through 2024 and the Company does not forecast any O&M for 2025 related to the project.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Enterprise Architecture Modernization project has a scope completion of 50 percent and that project cost estimates include 20 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

Q. What capital funding, incremental O&M, and FTEs did the Company request for the project?

A. For capital funding, the Company requests $0.6 million in Rate Year 1, $0.6 million in Rate Year 2, and $0.6 million in Rate Year 3. For incremental O&M, the Company requests $0.313 million in Rate Year 1, $0.238 million in Rate Year 2, and $0.2 million in Rate Year 3. For FTEs, the Company requests four in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $0.448 million and the incremental O&M to $0.234 million.

Q. How did you determine the recommended capital budget?

A. The proposed capital budget was calculated by inflating the average of historical spending to 2026 dollars; the O&M was reduced by the same percentage as the capital expenditures.

Q. What is the rationale for the adjustment?

A. An increase to project spending is not justified. On page 21 of Exhibit___(IT-8), the Company identifies an alternative as "Status quo: EA can remain at its current size." On page 19 of Exhibit___(IT-8), the Company states that the project expansion is "fueled by swift advancements in multiple areas, including merging of information and operational technologies, cloud-based solutions, data governance, and AI innovations." Given that my recommended funding level includes reductions to new initiatives, additional funding for the project is not justified. In response to DPS-596, the Company states that the project scope is 50 percent complete, which enables the Company to modify the project scope to fit within the budget I recommend.

Q. Provide an overview of the OpNet project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 96 through 102 of Exhibit___(IT-6). There is no historical spending or any forecasted 2025 cost information associated with the project.

A. What information did the Company provide regarding the project in response to DPS-596?

Q. The Company indicates that the OpNet has various levels of scope completion and that project cost estimates include 10 percent contingency. Additionally, the Company indicates that the project will result in modest avoided costs but does not articulate an amount.

A. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $15.933 million in Rate Year 1, $8.625 million in Rate Year 2, and $6.095 million in Rate Year 3. For incremental O&M, the Company requests $0.759 million in Rate Year 1 and $0.041 million in Rate Year 2. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the requested project funding?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $11.153 million.

Q. How did you determine the recommended capital

budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. The project includes inadequately justified elements. On page 96 of Exhibit___(IT-6) the Company states, in the project work description of the White Paper, that "Con Edison has consistently prioritized the cybersecurity of its Distribution Control Centers," and cites key achievements of "enhancing robust 'islanded' operations to maintain functionality during cyber incidents" and "enhancing logging, monitoring, auditing, and recovery capabilities to improve resilience and forensic analysis post-incident". The Company also states on page 96 of Exhibit___(IT-6) that the Company "will shift towards security hardening upgrades and iterative improvements", and also states that "the upgrade will include the deployment of innovated technology, improved power and cooling systems, and advanced security controls."

Q. Are there any alternatives to the project?
A. In the alternatives section of the White Paper, on page 99 of Exhibit___(IT-6), the Company states alternatives are to "maintain Current Architecture" and states that this would "potentially" lead to significant operational disruptions and non-compliance with regulatory standards. The alternatives section on page 99 of Exhibit___(IT-6) also state an option is to "Implement Basic Security Upgrades", and states that this would "not be enough to counteract advanced persistent threats or sophisticated cyber-attacks. Basic upgrades could provide a false sense of security and might not meet regulatory compliance." These potentialities are insubstantial, and the premise of the "basic security package" providing a "false sense of security" is equally applicable to any security package, basic or otherwise. As such, there is no evidence indicating that the benefits of these elements will outweigh the costs. For these reasons, a reduction in budget is warranted.
Q. Provide an overview of the Power Platform

Governance and COE project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 97 through 102 of Exhibit___(IT-9). The Company states that there were no capital expenditures for the project in the years 2020 through 2024 and the Company does not forecast any capital expenditures in 2025 related to the project. For O&M, the Company states that it expended $0.705 million in 2020, $0.737 million in 2021, $0.742 million in 2022, $2.021 million in 2023, $1.391 million in 2024, and the Company forecasts $1.787 million in O&M costs for the project in 2025.

Q. What additional project information did the Company provide in response to DPS-596?

A. The Company indicates that the Power Platform Governance and COE project has a scope completion of 75 percent and that project estimates include 15 percent contingency. Additionally, the Company estimates that the project will result in avoided costs of $0.3 million annually after 2029.

Q. What capital funding, incremental O&M, and FTEs

did the Company request for the project?

A. For capital funding, the Company requests $1.549 million in Rate Year 1, $2.053 million in Rate Year 2, and $2.045 million in Rate Year 3. For incremental O&M, the Company requests $0.554 million in Rate Year 1 and $0.196 million in Rate Year 2. For FTEs, the Company requests one in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend a reduction to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $1.084 million.

Q. How did you determine the recommended budget?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value.

Q. What is the rationale for the adjustment?

A. The project contains elements that are inadequately justified. In the Summary of Financial Benefits and Costs section on page 101 of Exhibit___(IT-9), the Company states that the

project would "reduce development times, reduce error processing and reduce maintenance costs" for automations, that "additional savings will result from a central repository of best practices", and that "roughly $50k a year" will be saved from migrating to power automate. In response to DPS-596, the Company indicates that the project would result in avoided costs of $0.3 million annually after 2029. Given that the Company estimates expending $5.6 million in capital on the project, the costs do not outweigh the benefits. The Company also states on page 98 of Exhibit___(IT-9) that it intends to automate existing projects in areas such as IT, Customer Service, Finance, Supply, Emergency Preparedness and Law. As my recommended IT budget accepts the proposed phased execution of the legal technology project, dedicating funds to automating current law processes is unnecessary. Further, IT and Customer Service projects already include automations within their scopes of work. My recommended IT budget also includes reductions to IT and Customer Service projects, reducing the need to automate

processes related to new integrations. For these reasons, a reduction in requested funding is warranted.

Q. Provide an overview of the Maximo Consolidation Program Phase 2 project.

A. The project is within the Information Technology organization, is currently in planning, and is presented on pages 142 through 149 of Exhibit___(IT-7). There is no historical spending or any forecasted 2025 cost information associated with the project.

A. What information did the Company provide regarding the project in response to DPS-596?

Q. The Company indicates that the Maximo Consolidation Program Phase 2 project has a scope completion of 25 percent and that project cost estimates include 15 percent contingency. Additionally, the Company indicates that the project will not result in cost avoidance.

A. What capital funding, incremental O&M, and FTEs did the Company request for the project?

Q. For capital funding, the Company requests $13.323 million in Rate Year 1, $12.743 million in Rate Year 2, and $10.287 million in Rate Year

3. For incremental O&M, the Company requests $1.386 million in Rate Year 1 and $0.103 million in Rate Year 2. For FTEs, the Company requests two in Rate Year 1. This request is presented in Exhibit__(IT-1-Upd), Exhibit__(IT-2-Upd), and Exhibit__(IT-3-Upd).

Q. Do you recommend an adjustment to the project budget?

A. Yes. I recommend reducing the Rate Year 1 capital budget to $9.326 million and reducing the incremental O&M to $0.970 million.

Q. How did you determine the adjustment?

A. I arrived at the recommended capital budget by reducing the Rate Year 1 capital budget proposed by the Company to 70 percent of the proposed value; the incremental O&M was reduced by the same percentage.

Q. What is the rationale for the adjustment?

A. The project contains insufficiently justified elements. On page 142 of Exhibit___(IT-7), the Company states that "the scope of work under this project includes applications that were not identified in our Phase 1 ask and need to be migrated to Maximo between 2026 through 2028",

and that "additional functionalities identified for applications migrated in phase 1". These elements suggest that the original scope was inappropriately defined. For these reasons, a reduction to the budget is warranted. Additionally, in response to DPS-596, the Company states that the project scope completion is 25 percent meaning that the Company could reduce project scope to fit within the funding I recommend. The Company should focus efforts on completing the originally identified scope prior to expanding the scope to include more applications.

Q. Do you recommend any other adjustments?

A. Yes. In concurrence with the Staff Consumer Services Panel, the project is inadequately justified and the budget for the Billing and Payments Enhancements project should be denied. This adjustment was inadvertently excluded from the revenue requirement models and the revenue requirement approved by the Commission should reflect the removal of the project.

Reporting

Q. Summarize the reporting recommendations provided

in the previous discussions.

A. First, in future rate filings, the Company should be directed by the Commission to parse all IT projects to isolate, where feasible, the costs associated with maintaining current systems as-is and the costs arising from hardware and software upgrades that result in new functionalities or incremental improvements to system performance or cybersecurity. Where it is infeasible, the Company should provide details as to why such parsing of information poses an undue burden or is otherwise cost prohibitive. Second, I recommend that the Commission direct the Company to include Project Status Reports within its quarterly capital project reporting, redacted as necessary to preserve confidentiality. This would enable parties to review project scopes and contingency spending as the projects progress. Third, the Commission should direct that in future rate filings, all Information Technology White Papers must parse total costs by feasibility, design, development, and production/implementation. Where parsing costs in such a way is infeasible,

a statement must be included explaining why it is inapplicable or otherwise infeasible, and why that infeasibility or inapplicability is reasonable in the context of the project. Fourth, I recommend the Commission direct Con Edison to include in its subsequent rate filings a comprehensive mapping document that identifies and accounts for breakages in classification and identification. This mapping would identify all projects and programs proposed by the Company by panel, and specify how the capital, incremental O&M, and workforce requests are represented within the Company's financial models. This is beneficial compared to the current processes, where Staff reviews the Company's filings, discovers discrepancies, and then resolves the discrepancies through mapping and communication with the Company. The current process poses an undue burden, and the parties to this and future proceedings should have timely access to information critical to the review of the Company's requests.

Q. Do you have any other reporting recommendations?

A. Yes. I recommend the Commission require on-

going reporting regarding Con Edison's use of Artificial Intelligence (AI) in any of its projects and programs, or its plan(s) to utilize Artificial Intelligence in any capacity.

Q. What projects contain AI that necessitates reporting?

A. The Company's response to DPS-617 provides the 23 projects that contain AI elements. In addition, any other project(s) or program(s) to which Con Edison adds AI elements to their scope of work.

Q. Why do you recommend such reporting?

A. There are two immediate concerns with AI. First, there is insufficient evidence to conclude that Artificial Intelligence investments are cost-effective. Second, Artificial Intelligence models require substantial effort to validate. AI technology represents "black boxes" that require significant effort by the technology user to validate outputs.

Q. Elaborate on the lack of evidence supporting the cost-effectiveness of Artificial Intelligence investments.

A. Artificial Intelligence is not free and requires both significant computation during model training and data storage to retain the model. Obtaining, developing, and curating suitable training data is another expense. The Company indicates in response to DPS-617 that model training will be done "as needed to ensure accuracy", which the Company indicates "typically happens daily or weekly." Additionally, the FTEs that develop and maintain AI can be reasonably expected to be compensated at a rate above the average utility employee. Artificial Intelligence that is developed and supplied by third-parties represents the newest potential vector of escalating IT costs; if the services providers increase cost, the Company will be "locked in" by reliance on the model provider. There is no conclusive evidence in the record that that benefits derived from Artificial Intelligence will exceed the costs. The avoided cost descriptions provided by the Company for these projects in response to DPS-596 indicate that, in general, it is difficult to quantify the savings and cost avoidance for

these projects. Where the Company does provide a value, it is simultaneously imprecise and insufficient to justify the project cost.

Q. Elaborate on the "black box" nature of AI and the resources necessary to validate AI model outputs.

A. The complexity and structure of AI models renders establishing a precise understanding of the underlying decision-making processes a practical impossibility. The Company speaks to this on page 36 of Exhibit___(IT-9), within the Data & AI Governance Program White Paper. The Company states that "AI introduces new ethical, legal, and governance challenges, including discrimination, biases, incorrect outcomes, and lack of transparency". This "lack of transparency" is in part due to the "black box" nature--inputs go into the black box, and outputs come out. In all contexts this "lack of transparency" necessitates careful evaluation and verification of inputs and outputs; a process that parties are unlikely to be permitted or capable of reasonably conducting. As AI technologies are increasingly adopted,

Company products, processes, and decisions will be increasingly formed or otherwise influenced by these "black boxes".

Q. Elaborate on the term “black box” and how the term is applicable to AI systems.

A. Given that multiple definitions of “black box” exist, for the purposes of this testimony, I define three sub-types of “black boxes”: "true black boxes", "locked boxes", and "opaque boxes", which each represent information systems with different characteristics.

Q. How do you define and use the term "black box"?

A. A "black box" is a simplified representation of a process or system of processes; this representation has three components: the "inputs", which is the data or information provided, the "black box" which executes some unknown process or processes; and the "outputs", data or information produced by the "black box" from the “inputs”.

Q. Elaborate and define the term "locked box".

A. As the term "black box" is applicable to systems analysis, the term can be used colloquially to refer to a parties’ immediate ascertainable

perspective given presently available data and information. This means that, for example, if the Company files certain information confidentially that is critical to the understanding of some system or process, parties with access to confidential information are capable of establishing an understanding of how that system transforms inputs into outputs. Parties without access to confidential information and therefore lacking such information necessary for establishing an understanding of the system, understand the system merely as a "black box". For the purposes of my testimony, this type of "black box"--one that arises from access restrictions from existing information--can be best understood as "locked box".

Q. Elaborate on the term "opaque box" and how you define the term.

A. The difficulty and cost to analyze and define processes increases as the complexity or scale of a process increases. For example, it may require expending some resource for the Company to produce a robust and precise explanation of

Company's SCADA, the backbone of modern infrastructure monitoring and management. In both internal and external communications regarding the SCADA system, the Company must necessarily determine what information, and with what detail, to provide regarding the system. The complexity of the system may also necessitate, to some degree, the summarization or abstraction of technical processes for example, through charts and graphs visualizing the output of function or simulation. The resource cost and summarization/abstraction of technical processes present barriers to understanding the "black box". In these circumstances, the “black box” is better understood as an “opaque box” because with some finite level of resource investment, what is currently a black box can become completely understood, meaning that the system processes transforming inputs into outputs can be completely understood conventionally.

A. Explain the term "true black box" and how you define the term.

Q. A "true black box", for the purposes of this

testimony, is a process or system of processes with sufficient scale or complexity that the processes cannot be fully and completely known or cannot reasonably become fully or completely known without significant resources or significant time. In the context of AI, "true black boxes" are best represented by large language models that can directly process and interpret information. These models can become so complex that the exact processes cannot be precisely understood; and so large that it cannot be understood in a reasonable time.

Q. Absent sufficient information, should AI models be presumed to be “true black boxes” or “opaque boxes”?

A. Absent sufficient information, AI models should be presumed to be “true black boxes”. As the process of explaining AI models with precision is in nascency, presuming inexplicability is more reasonable than presume explicability. Conceptually, proving inexplicability is similar to proving a negative; it is simple to prove explicability insofar that the explanation is the logical proof of a system’s explicability.

For that reason, structuring the block analysis such that AI systems are presumed to be “true black boxes” and must be proven to be “opaque boxes” is reasonable.

Q. How do these "boxes" fit in with the reporting framework recommended you?

A. The reporting is intended to begin developing the information necessary to classify the Company's AI applications, systems, and processes within the box structure with increasing precision. On-going, evolving reporting is warranted given the nascency of AI, AI testing methods, and AI oversight; coupled with the rapid progression of AI, the ongoing adoption of AI, and the interweaving of AI within existing applications and services. Fitting project elements within the box structure provides a framework for evaluating the merits and risks arising from an AI application.

Q. Provide an example application of the block analysis to an AI-related project.

A. The Company indicates in response to DPS-617 that for the project "Connected Vehicles -

Enterprise Vehicle Telematics", the Company will not own the AI model and will not have direct access to the AI model code base. As such, from the Company's position— and by extension, the Commission's position— the AI Model is a "locked box". The character of the AI scope, which provides "knowledge base", and states that the AI can "offer real-time driver coaching", it can be reasonably assumed that the AI Model is sufficiently complex or of sufficient scale to be considered an "opaque box". Additional technical information would be necessary to determine whether the AI application described represents a "true black box"; but absent information proving that the AI Model is understandable or explainable, it is more reasonable to assume that it is not. Taken together, the project's AI application is a locked opaque box that should be assumed to be a true black box.

A. What should the end-product of AI reporting development provide?

Q. At minimum, AI reporting would identify all "locked boxes" and "true black boxes"; and begin

to quantify the opacity of "opaque boxes". A reasonable initial step in the process of establishing adequate oversight over AI process is the identification and tracking of elements with restricted access -- "locked boxes"; elements impossible to fully understand with presently available conventional methods -- "true black boxes"; and elements where analytic methods are technically impractical or constrained by resources -- "opaque boxes". As new methods for testing and evaluating AI models arise, opaqueness will become quantifiable and the number of "true black boxes" will decrease.

Q. What specific reporting do you recommend?

A. I recommend that the Commission direct ongoing reporting in addition to the reporting recommended for all IT projects. I recommend that the Commission direct Con Edison to develop yearly reports that updates the Commission the status of its AI projects. We recommend that this report be required to provide detailed technical and financial information associated with AI applications, including training costs, descriptions of training data, current

validation practices, an example use-case demonstrating the nature of user input and model output, the character and magnitude of model drift, the frequency of model use by any business decisions that rely upon or are otherwise informed by the output of AI. Given that my recommended project budget retains funding, in part, for the Data & AI Governance Program, the Company is already positioned and has funding to develop such information.

Q. Does this conclude your testimony at this time?

A. Yes.